

The Week Ahead

Forecasts, data preview, central bank watch

25 September 2026

KEY DATA RELEASES AND EVENTS NEXT WEEK

- Hong Kong retail sales rebound on the cards.
- Regional inflation data to show elevated upside risks.
- Singapore August production to show continued upward momentum.



Taimur Baig PhD,
Chief Economist

taimurbaig@db.com



Chua Han Teng,
Senior Economist

hantengchua@db.com

The Week Ahead covers the key data releases and central bank events of the coming week, collating our macro forecasts.

KEY FORECAST FOR THE COMING WEEK

Event	DBS	Previous
Sep 28 (Mon)		
India: industrial production (Aug)	8.0% y/y	6.7% y/y
Singapore: industrial production (Aug)	19.0% y/y	6.8% y/y
Sep 29 (Tue)		
Japan: industrial production (Aug)	6.1% y/y	3.9% y/y
South Korea: industrial production (Aug)	4.0% y/y	3.6% y/y
Oct 1 (Thu)		
Indonesia: exports (Aug)	4.3% y/y	6.1% y/y
- imports	31.7% y/y	27.0% y/y
- trade balance	USD500mn	USD130mn
- CPI (Sep)	3.3% y/y	3.2% y/y
South Korea: exports (Sep)	60.6% y/y	68.7% y/y
- imports	21.5% y/y	22.4% y/y
- trade balance	USD37.3bn	USD34.8bn
Oct 2 (Fri)		
US: change in nonfarm payrolls (Sep)	75k	162k
Eurozone: CPI (Sep)	3.3% y/y	3.2% y/y
Hong Kong: retail sales (Aug)	7.8% y/y	4.5% y/y
South Korea: CPI (Sep)	3.0% y/y	3.1% y/y
Oct 3 (Sat)		
Vietnam: GDP (3Q)	9.4% y/y	8.4% y/y
Vietnam: exports (Sep)	20.5% y/y	26.0% y/y
- imports	33.5% y/y	37.9% y/y
- trade balance	-USD1.7bn	-USD0.1bn
- retail sales YoY YTD (Sep)	13.5% y/y	13.3% y/y
Vietnam: CPI (Sep)	5.0% y/y	4.9% y/y

FORTHCOMING DATA RELEASES

Hong Kong SAR

Retail sales growth is expected to accelerate from 4.5% yoy in July to 7.8% in August, supported by an increase in visitor arrivals. The daily average of mainland visitor arrivals rebounded from 2.7% yoy in July to 13.3% in August. This significantly outpaced the growth in outbound tourism to 10.7% in August. The overall diffusion index improved during the month, with both the retail trade and restaurant sectors showing gains. Consumer prices remained steady at 1.7% yoy in August, while the prices of durable goods and food improved to 0.8% and 0.6% yoy, respectively.

Indonesia

September inflation is expected to stay high but not accelerate sharply from August. Headline CPI inflation is projected to rise marginally to 3.3% yoy in September from 3.2% in August. Continued rise in food prices, notably rice and perishables, is expected to be offset by steady subsidised fuel costs. Official price stabilisation measures and inter-province supply adjustments will help to limit the spillover impact of El Niño risks. Evolving inflation dynamics are consistent with the BI's decision to pause on rates, shifting attention instead towards managing near-term rupiah volatility and external risks.

South Korea

September trade and inflation data will be the key focus in the week ahead. Exports are expected to remain strong at around 60% yoy, supported by front-loading of shipments ahead of the Chuseok holiday (78.3% growth in the first 20 days of September). Headline CPI is expected to remain around 3% yoy, driven by festive demand for food and services ahead of Chuseok. We maintain our forecast for the Bank of Korea to deliver one more 25bps rate hike to 3.25% in 4Q. We do not rule out an additional 25bps hike to 3.50% if elevated global oil prices prove more persistent, adding further upside pressure to CPI in 4Q.

Singapore

We expect Singapore's industrial production growth to surge to 19.0% yoy in August 2026, sharply higher than the 6.8% yoy in July. This was partly flattered by favourable base effects, as August 2025 marked the lowest monthly reading of that year. The city-state's factory expansion continued to be driven primarily by strength in electronics and precision engineering, both of which are benefitting from the global artificial intelligence (AI) infrastructure build-out and sustained demand for AI hardware.

Vietnam

We expect Vietnam's real GDP growth to accelerate to 9.4% yoy in 3Q26, stepping up from 8.4% yoy in 2Q26. This growth surge was driven by broad-based strength across electronics production and exports, foreign and public

investments, and retail spending, notwithstanding evolving geopolitical developments. The stronger momentum was corroborated by high-frequency indicators from July-August, while September's data will likely be robust. In July-August, industrial production expanded by an average of 14.9% yoy (from 11.2% yoy average in 2Q26), goods exports grew by 25.5% yoy (gaining from 22.8% yoy in 2Q26), public investments remained robust, alongside resilient domestic and tourism spending, even as inflation remained elevated. Consequently, we see upside risks to our already-bullish 2026 GDP growth forecast of 8.0%.

GROWTH, INFLATION, POLICY RATES & FX FORECASTS

	GDP GROWTH, % YOY				CPI INFLATION, % YOY			
	2024	2025	2026f	2027f	2024	2025	2026f	2027f
CHINA	5.0	5.0	4.5	4.3	0.2	0.0	1.0	1.0
HONG KONG	2.5	3.5	3.8	2.8	1.5	1.4	2.0	2.0
INDIA	7.4	7.3	7.8	6.8	4.9	2.2	4.5	4.2
INDIA (FISCAL YEAR) *	7.2	7.8	7.3	6.8	4.6	2.1	4.9	4.0
INDONESIA	5.0	5.1	5.3	5.1	2.3	1.9	3.3	2.2
MALAYSIA	5.2	5.2	5.2	4.5	1.8	1.4	2.0	2.0
PHILIPPINES	5.6	4.5	4.7	5.0	3.2	1.7	6.5	4.0
SINGAPORE	5.3	5.0	5.0	3.0	2.4	0.9	2.2	2.0
SOUTH KOREA	2.0	1.0	3.5	2.4	2.3	2.1	2.6	2.7
TAIWAN	5.3	8.8	11.6	5.6	2.2	1.7	2.0	2.1
THAILAND	2.9	2.4	2.1	2.0	0.4	-0.1	1.7	1.0
VIETNAM	7.0	8.0	8.0	7.3	3.6	3.3	4.8	3.3
EUROZONE	0.7	1.5	1.2	1.2	2.3	2.2	3.1	2.1
JAPAN	0.1	1.2	0.9	1.0	2.7	3.2	1.8	1.5
UNITED STATES	2.8	2.0	1.9	1.7	3.0	2.7	3.5	3.0

* 2024 represents Fiscal year 25; ending Mar 25

POLICY INTEREST RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
CHINA*	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
INDIA	5.25	5.25	5.25	5.75	5.75	5.75	5.75	5.75
INDONESIA	4.75	5.75	5.75	5.75	5.75	5.75	5.75	5.75
MALAYSIA	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
PHILIPPINES	4.25	4.75	5.00	5.25	5.25	5.25	5.25	5.25
SINGAPORE**	1.16	1.16	1.60	1.80	2.00	2.00	2.00	2.00
SOUTH KOREA	2.50	2.50	3.00	3.25	3.25	3.25	3.25	3.25
TAIWAN	2.00	2.00	2.00	2.13	2.13	2.13	2.13	2.13
THAILAND	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
VIETNAM***	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50
EUROZONE^	2.00	2.25	2.50	2.75	3.00	3.00	3.00	3.00
JAPAN	0.75	1.00	1.25	1.25	1.50	1.75	1.75	1.75
UNITED STATES	3.75	3.75	4.00	4.25	4.50	4.50	4.50	4.50

* 1-yr Loan Prime Rate; ** 3M SORA OIS ; *** refinancing rate; ^ deposit facility rate

EXCHANGE RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	6.89	6.79	6.69	6.60	6.63	6.65	6.68	6.70
USD/HKD	7.84	7.84	7.83	7.83	7.83	7.83	7.83	7.83
USD/INR	94.8	94.7	95.8	95.6	95.7	95.8	95.9	96.0
USD/IDR	17041	17907	17720	17400	17470	17530	17600	17660
USD/MYR	4.05	4.08	4.07	4.00	4.04	4.08	4.11	4.15
USD/PHP	60.7	61.3	62.6	61.5	62.1	62.8	63.4	64.0
USD/SGD	1.29	1.29	1.28	1.26	1.27	1.27	1.28	1.29
USD/KRW	1516	1549	1395	1400	1410	1420	1425	1435
USD/THB	32.6	33.2	33.3	32.6	32.8	32.9	33.0	33.2
USD/VND	26340	26310	26000	25840	25980	26120	26260	26400
AUD/USD	0.69	0.69	0.71	0.71	0.71	0.70	0.70	0.70
EUR/USD	1.16	1.14	1.15	1.18	1.17	1.17	1.16	1.15
USD/JPY	159	163	156	151	153	154	155	157
GBP/USD	1.32	1.33	1.34	1.36	1.35	1.34	1.33	1.32

INTEREST RATE FORECASTS

		2026				2027			
		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
US	3M SOFR OIS	3.68	3.75	3.90	4.15	4.40	4.40	4.40	4.40
	2Y	3.79	4.16	4.60	4.65	4.70	4.70	4.70	4.70
	10Y	4.32	4.45	5.00	5.10	5.20	5.20	5.20	5.20
	10Y-2Y	52	29	40	45	50	50	50	50
Japan	3M TIBOR	1.27	1.41	1.50	1.60	1.75	1.85	1.85	1.85
	2Y	1.35	1.39	1.60	1.70	1.85	1.95	1.95	1.95
	10Y	2.35	2.72	2.80	2.85	2.95	3.00	3.00	3.00
	10Y-2Y	100	133	120	115	110	105	105	105
Eurozone	3M EURIBOR	2.08	2.32	2.70	2.95	2.95	2.95	2.95	2.95
	2Y	2.62	2.53	2.90	3.00	3.00	3.00	3.00	3.00
	10Y	3.00	2.86	3.30	3.40	3.50	3.60	3.70	3.80
	10Y-2Y	39	33	40	40	50	60	70	80
Indonesia	IDR 3M OIS	4.12	6.45	5.90	5.90	5.90	5.90	5.90	5.90
	2Y	6.31	7.21	6.90	6.80	6.70	6.65	6.60	6.50
	10Y	6.86	7.16	7.00	6.95	6.90	6.90	6.90	6.90
	10Y-2Y	55	-5	10	15	20	25	30	40
Malaysia	3M KLIBOR	3.37	3.45	3.35	3.35	3.35	3.35	3.35	3.35
	3Y	3.26	3.26	3.35	3.30	3.30	3.25	3.25	3.25
	10Y	3.63	3.60	3.80	3.85	3.85	3.85	3.80	3.80
	10Y-3Y	37	35	45	55	55	60	55	55
Philippines	3M NDF implied yield	6.09	4.94	5.55	6.05	6.05	6.05	6.05	6.05
	2Y	5.42	6.08	6.20	6.25	6.25	6.30	6.35	6.35
	10Y	6.98	6.90	7.35	7.45	7.50	7.55	7.60	7.65
	10Y-2Y	156	82	115	120	125	125	125	130
Singapore	3M SORA OIS	1.16	1.16	1.60	1.80	2.00	2.00	2.00	2.00
	2Y	1.61	1.58	1.95	2.10	2.20	2.20	2.20	2.20
	10Y	2.29	2.04	2.50	2.60	2.70	2.70	2.70	2.70
	10Y-2Y	68	45	55	50	50	50	50	50
Thailand	3M BIBOR	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15
	2Y	1.41	1.14	1.15	1.20	1.25	1.30	1.35	1.35
	10Y	2.23	2.04	2.10	2.20	2.30	2.40	2.50	2.60
	10Y-2Y	82	90	95	100	105	110	115	125
China	1Y LPR	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
	2Y	1.37	1.25	1.25	1.25	1.25	1.25	1.25	1.25
	10Y	1.86	1.73	1.75	1.80	1.80	1.85	1.85	1.85
	10Y-2Y	48	48	50	55	55	60	60	60
Hong Kong, SAR	3M HIBOR	2.36	2.97	3.10	3.35	3.60	3.60	3.60	3.60
	2Y*	2.82	3.43	3.90	3.95	4.00	4.00	4.00	4.00
	10Y*	3.08	3.45	4.20	4.30	4.40	4.40	4.40	4.40
	10Y-2Y	26	2	30	35	40	40	40	40
Korea	3M CD	2.82	2.92	3.25	3.50	3.50	3.50	3.50	3.50
	3Y	3.56	3.70	3.75	3.90	3.90	3.90	3.90	3.90
	10Y	3.88	4.07	4.20	4.35	4.35	4.35	4.35	4.35
	10Y-3Y	32	37	45	45	45	45	45	45
India	3M MIBOR	7.25	6.61	6.30	6.80	6.80	6.80	6.80	6.80
	2Y	6.37	5.99	6.50	6.70	6.75	6.75	6.75	6.75
	10Y	7.04	6.75	7.00	7.10	7.15	7.15	7.15	7.15
	10Y-2Y	67	76	50	40	40	40	40	40

%, eop, govt bond yield for 2Y and 10Y, spread bps, *HKD swaps

Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

ECONOMICS & STRATEGY

Taimur BAIG, Ph.D.

Chief Economist
Global

taimurbaig@dbbs.com

Mo Ji, Ph.D.

Chief Economist
China/HK SAR
mojim@dbbs.com

Han Teng Chua, CFA

Senior Economist
Asean
hantengchua@dbbs.com

Wei Liang CHANG

FX & Credit Strategist
Global
weiliangchang@dbbs.com

Tieying MA, CFA

Senior Economist
North Asia
matieying@dbbs.com

Philip WEE

Senior FX Strategist
Global
philipwee@dbbs.com

Mervyn Teo

Senior Credit Analyst
USD, SGD, AUD
mervynteo@dbbs.com

Eugene LEOW

Senior Rates Strategist
G3 & Asia
eugeneleow@dbbs.com

Sherilyn Chew

Multi-asset Strategist
Global
sherilync Chew@dbbs.com

Ian Haan Chui

Credit Analyst
USD
ianchui@dbbs.com

Samuel TSE

Rates Strategist
Asia
samueltse@dbbs.com

Tracy Li Jun LIM

Credit Analyst
USD, SGD
tracylimt@dbbs.com

Joel SIEW, CFA

Credit Analyst
USD, SGD, AUD
joelsiew@dbbs.com

Amanda SEAH

Credit Analyst
USD, SGD, AUD
amandaseah@dbbs.com

Teng Chong LIM

Credit Analyst
USD, SGD, AUD
tengchonglim@dbbs.com

Daisy SHARMA

Analyst
Data Analytics
daisy@dbbs.com

Iris GAO

Credit Analyst
USD
irisgao@dbbs.com

Radhika RAO

Senior Economist
Asean/EU/South Asia
radhikarao@dbbs.com

Violet LEE

Associate
Publications
violetleeyh@dbbs.com

Nathan CHOW

Senior Economist
China/HK SAR
nathanchow@dbbs.com

Byron LAM

Economist
China/HK SAR
byronlamfc@dbbs.com

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India: Growth, liquidity and policy response

22 September 2026

Radhika Rao, Senior Economist

radhikarao@dbb.com



- *High frequency indicators might keep 2QFY growth close to 7%.*
- *Pace to moderate in 2HFY.*
- *Retail inflation is likely to continue rise and broaden in scope, necessitating a tighter policy bias. WPI likely to rise by double-digits.*
- *Special swap windows helped to stem bearish INR positioning.*
- *Organic capital flows need to catch up.*
- *Liquidity management is in focus, with a moderate correlation to inflation.*
- *Twin-deficit risks are partly offset by stronger macro buffers.*

GROWTH MOMENTUM TO SUSTAIN, EXTERNAL RISKS LINGER

India registered strong growth at the start of FY27. Sustaining this performance will depend increasingly on how effectively it navigates a more uncertain global environment. Besides trade fragmentation, geopolitical tensions leading to higher energy prices, and shifts in international capital flows present key external risks.

India joined its Southeast Asian peers in posting an upside surprise on growth in 1QFY27 (Apr-Jun26), up a firm 7.8% yoy. few points of note:

A) strong 1Q growth print reinforced the view that India's domestic demand cycle was more resilient than initially assumed, with consumption, public capex and manufacturing providing a solid base despite external shocks.

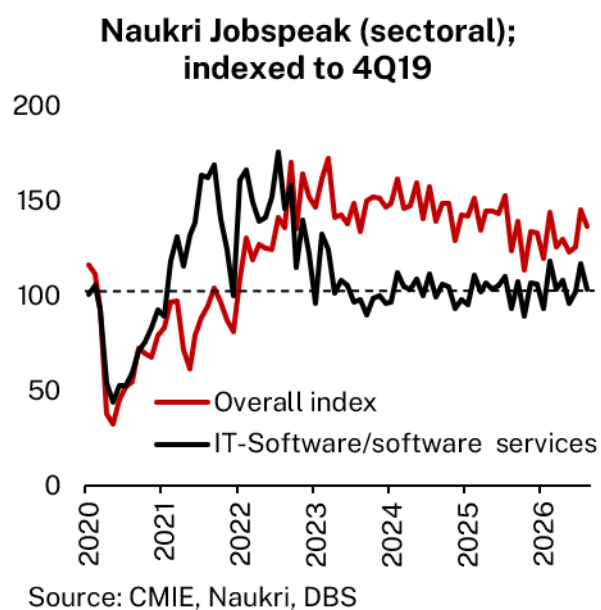
B) prevailing tailwinds by way of indirect tax relief in 4Q25, real rate buffer, and easier monetary conditions (earlier cuts), were also supportive;

C) nominal GDP growth returned above 10% after two years on higher deflators, though some segments like manufacturing faced negative deflators as input prices rose at a faster pace than output due to commodity price increases and import intensity;

D) Revisions to backdated numbers, to account for output PPI series, pushed up FY26 growth to 7.8% (from 7.7% earlier). Two prior years were also revised.

High-frequency indicators

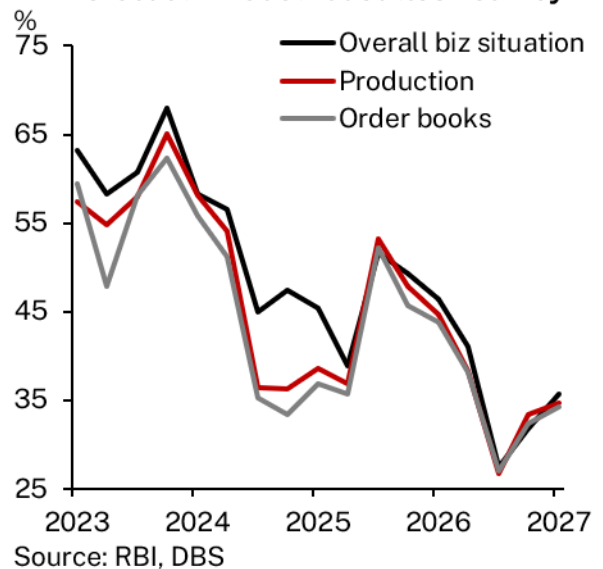
Into July-August, high frequency indicators are holding up, including GST e-way bills, indirect tax revenues, electricity demand and growth in digital payments, while toll collections and petroleum consumption slipped. **For demand**, a contained extent of increase in retail pump prices shielded households from the surge in global crude prices, but other market linked fuel variants have climbed in recent months. On the employment front, job reductions were witnessed in the software sector, even as fresh opportunities were reported in global capability centres, electronics/semiconductors, healthcare, auto/ancillary etc. Wage growth in services has improved, manufacturing has been steady, while farm sector moderated, according to consumption surveys by CMIE.



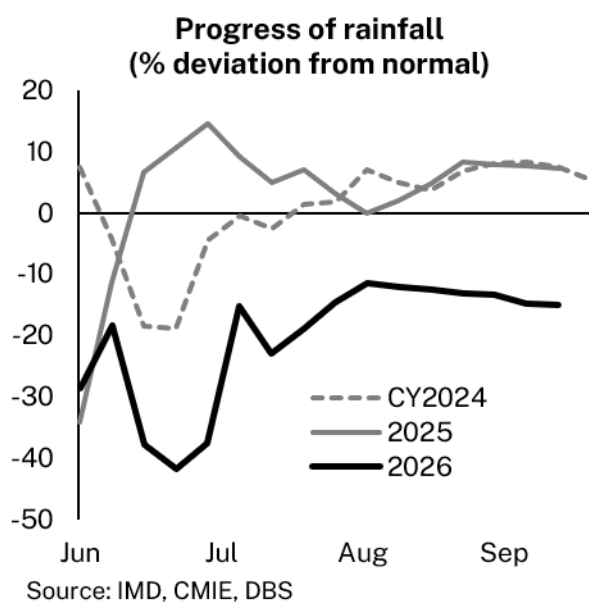
Industry indicators are a mixed bag, with PMIs maintaining their foothold in the expansionary terrain, while production

and eight core index growth come off highs. Auto production continues to expand, though output and sales might moderate in the next quarter on base effects due to indirect tax cuts in the same time year ago. Forward-looking firm surveys have improved, after initially coming under pressure.

RBI forecast - Industrial outlook survey



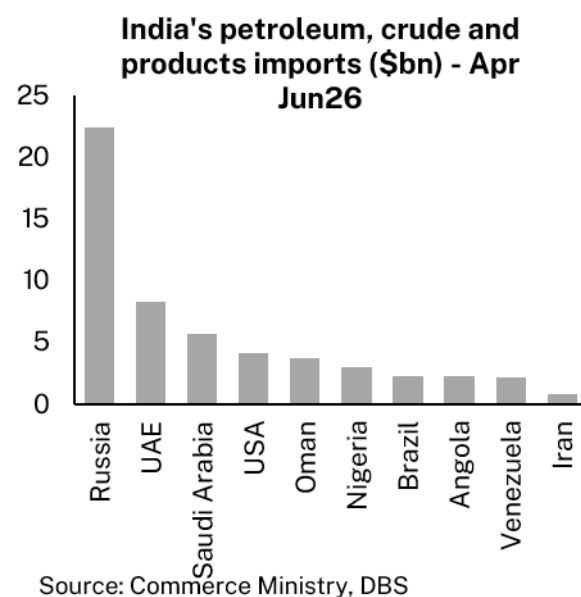
Sectors associated with rural demand might moderate amid weaker kharif sowing activity and lower reservoir levels impacting the rabi crop activity. Cumulative southwest monsoon is ~15% below the long-term average by tail end of the season. This takes the country on course to face its driest monsoon since 2009 (which was 18% below LPA). Uneven geographical spread is notable, with south and east India registering nearly 25% shortfall. While kharif sowing is on track with 99% of acreage completed, the winter crop might come under pressure as weather developments suggest El Niño could extend into 2027.



With nominal GDP growth to track 11-12% this fiscal year, corporate earnings growth is expected to fare better than recent few years. 1QFY27 performance had already set off the year on a strong note, barring selected sectors like O&G which faced sequential marginal pressures from operating costs. Add to this, the centre's capex growth is in firm double-digits, also backed by growth in core imports (non-oil non-gold).

On the external sector, despite better performance by exports, oil and electronics purchases have weighed on the goods math. **The trade deficit** is set to stay wide amidst elevated global crude cost, higher industrial fuels, cooking gas etc, even as a wider mix of suppliers have addressed energy shortages. **Notably, the net electronics deficit has widened considerably**, just as exports have improved. Likewise, core imports (ex oil ex gold) have stayed firm, which partly feeds into higher exports as well as broader domestic demand. Monthly service trade surplus has been

rangebound around \$17-18bn in recent months dwarfed by \$25-\$30bn goods gap.



Maintaining growth forecasts

High frequency indicators put 2QFY growth close to 7%. **We expect full year FY27 growth to average 7.3% yoy** from a revised 7.8% in FY26, assuming moderation in the momentum in the second half of the year on tighter policy conditions, lagged impact of high energy prices and base effects from indirect tax cuts last year fade. Assuming some spillover impact of exogenous uncertainties and tight financial conditions at home, we expect FY28 growth to average 6.8-7.0%.

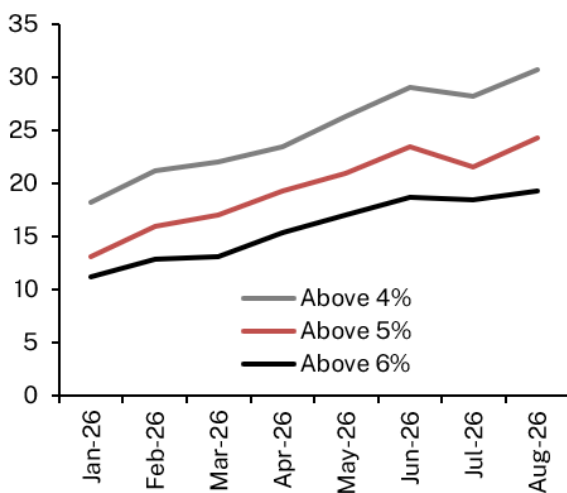
INFLATION OFF ITS BACK – THREE CATALYSTS

After two years of benign inflation, India's price trend is off its back this year, mainly on the back of three

catalysts: Food, energy and early signs of demand pass through.

Aug inflation rose to a 20-month high of 4.8% yoy from 4.5% month before. As the chart highlights, number of sub-segments growing by faster than the inflation target at 4% have continued to climb, pointing to a broadening out in the momentum.

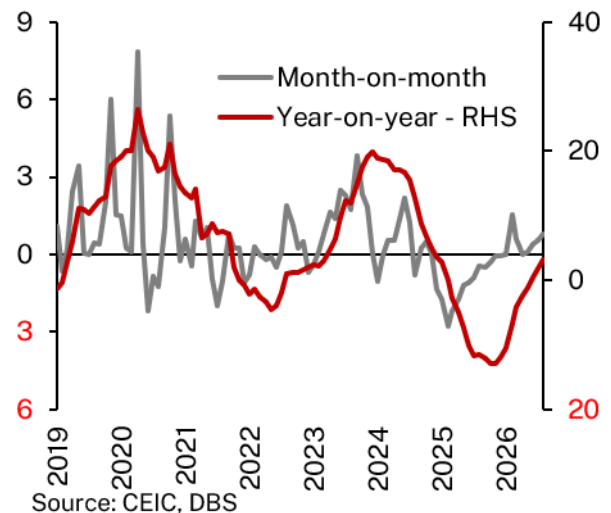
Percentage of CPI-segments above the target range mid-point



Source: CEIC, calculations are by DBS

Food inflation is gradually becoming more broad-based, shifting beyond vegetables and pulses to sugar, milk, protein groups, edible oils, amongst others. Sub-par weather has contributed to this upmove, besides idiosyncratic factors like swing in production trends, diversion for fuel usage etc. After two years of normal monsoon, cumulative southwest rainfall this year is currently 15% below the long-term average, alongside slower build-up in reservoir levels, which could impact upcoming rabi crops as well. El-Nino patterns continue to strengthen, adding to seasonal swings and risk of impacting farm output.

Pulses and products - inflation (average of 4 common varieties)

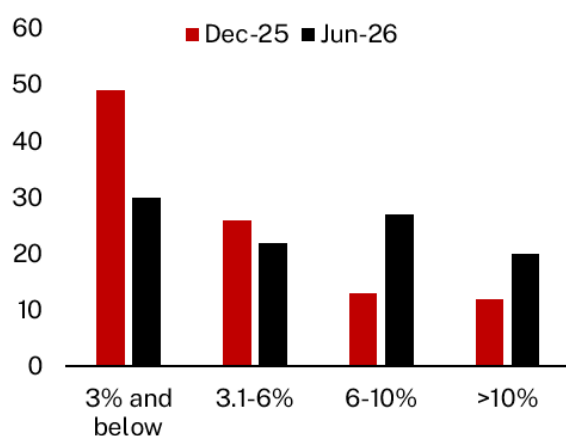


Source: CEIC, DBS

Beyond food, global oil prices have averaged ~\$91pb in CY26, staying above \$100pb for much of Seo26. Retail fuel prices were adjusted in quick succession back in May26 and have been left unchanged since then, while CNG, aviation fuel, LPG etc have continued to climb.

Transport inflation jumped to 4.6% yoy in Aug vs 0.1% in Jan26, besides utilities' component inching up. Business price expectation surveys (conducted by IIM Ahmedabad) have, nonetheless, captured businesses facing a notable increase in fuel costs, especially industrial fuels, base metals and derivative product groups. Imported price pressures are most notable in the producer price/ wholesale price indices. These gauges have been hovering at 9-10% yoy in recent months.

How to current unit costs compare to last year?

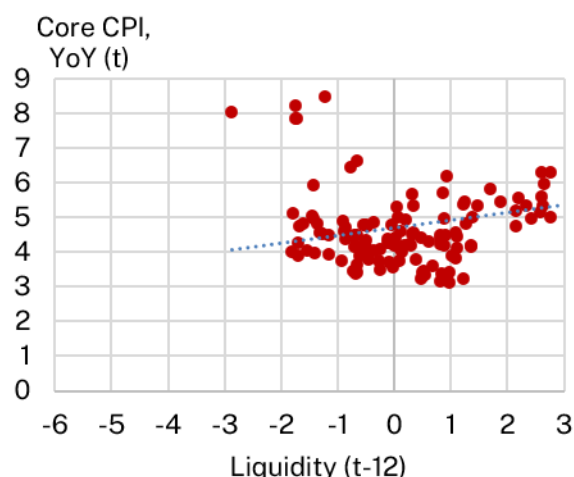


Source: BIES Survey, IIM Ahmedabad

Lastly, core inflation (ex-food and fuel) rose to 1.5-month high in August, mainly due to a sequential rebound in precious metals – gold and silver jewellery. Excluding precious metals, the reading was more moderate at 2.9%, pointing to some extent of economic slack. Nonetheless, other pockets like telecom, restaurants, business services, transport fares etc have been inching up, reflecting early signs of broadening in price pressures (on sequential basis), warranting attention. These are set against the backdrop of strong bank credit growth, flush INR liquidity and resilience in headline growth.

Our correlation analysis between liquidity (as % of NDTL) and core inflation – see chart, points to a positive but modest correlation at 0.4 between the two variables, with an assumed year-worth lag on inflation. The inflation-fighting mandate will also push the central bank to reduce the surplus liquidity in the domestic system.

Liquidity and Core CPI Inflation



Source: CEIC, BBG, DBS. Core CPI inflation ex food, fuel and light.

A sharp in global commodity prices is expected to feed into the wholesale price gauge, pushing up readings to double-digits next quarter.

A gradual broadening of price pressures is likely to keep headline inflation above 5% in second half of the fiscal year, sharply narrowing the real rate buffer, underscoring the need for a tighter policy bias. Add to this, recent developments, including a sustained rise in crude prices, tightening global financial conditions, firm domestic growth and signs of broadening in core pressures, strengthen the case for a shallow 50bp hike in second half of FY27, making October's meeting a live one.

TACKLING LIQUIDITY DELUGE, HIGHER YIELDS

Beating street estimates by a wide margin, the RBI's special swap windows raised a cumulative \$143bn into Sep, with the highest contribution (~92%) by

FCNR(B) deposits at \$133bn, while rest were via offshore borrowing facilities. These flows pushed up the foreign reserves stock to a fresh high past \$780bn, providing considerable firepower to defend the currency. This is already noticeable in the recent shift in the intervention bias. USDINR, which was earlier stubbornly steady in the face of strong FCNR inflows but eased sharply due to strong intervention dollar sales and broader dollar swings, before being led higher due to external triggers.

Liquidity is a key watch factor. Given the swap arrangement, these inflows have added to already abundant INR liquidity backdrop, which was at a four year high, depressing overnight rates. The banking system surplus jumped past INR 10trn surpassing 2022 and Covid highs, with the durable balance widening sharply higher to INR 14trn, suppressing overnight call rates. This compares to average INR 1trn surplus in late-June.

While organic drivers like tax-related outflows, and seasonal currency leakage, in addition to CAD, portfolio outflows, and maturity of the forwards book will act as counter-balancing factors, yet concerted steps were required to drain the potential surge in liquidity.

We discussed the various seasonal, near-term and permanent measures that the central bank might consider (see [FCNR bonanza necessitates debt management](#)) to absorb this surfeit. **Policymakers are being mindful of both the liquidity and signalling effects of the sterilisation tools at their disposal.** The RBI utilised tranches of market

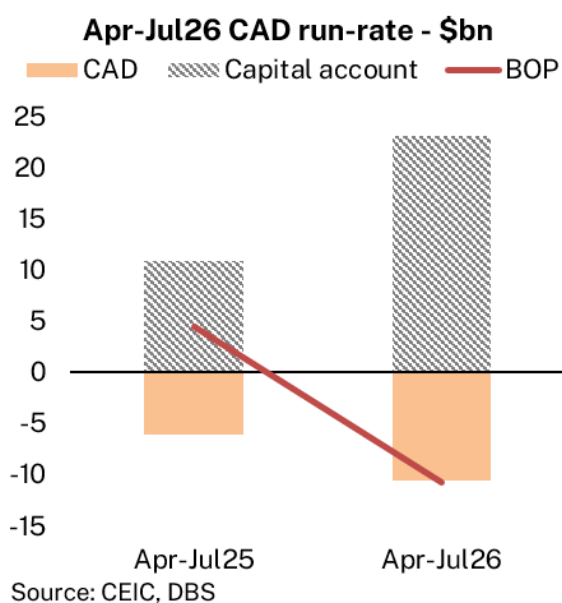
operations like VRRR across tenors, after which three tranches of open market operations (bonds maturing FY29 and FY32) worth a cumulative INR 1trn were conducted. These announcements fuelled a rise in yields, which were already inching up, tracking global counterparts. Sell/buy FX swaps for shorter rollovers were also being reportedly tapped.

When the dust settles, focus will also be on the bunched-up maturities that will fall due in 3Y and 5Y tenor of the deposits. A portion of the existing reserve stock could be earmarked against these liabilities, helping to mitigate concerns that deposit maturities or debt repayments could trigger a sharp increase in dollar demand and exert pressure on the FX market down the line. In the near-term, priorities will be to manage liquidity, gradually lower the sizeable forwards book, and support the domestic currency. Long-end yields continue to be influenced by the hardening global yields.

BALANCE OF PAYMENTS MATH TO BE COMFORTABLE

The FY27 current account math is expected to display two key counter trends, Firstly, the wider goods trade imbalance will raise the FY27 current account deficit. Secondly, the counterbalancing effect of a sharp improvement in the capital flows math will keep the annual balance of payments math in surplus.

India recorded a current account deficit (CAD) of \$10.5bn during April-July 2026, compared with \$6.1bn in the corresponding period last year. The deterioration was driven almost entirely by a wider merchandise trade deficit, which rose to \$117.8bn from \$97.1bn a year ago. Part of this offset by higher income, transfers and capital account flow. Capital flows found support from net FDI, portfolio investments and banking capital, especially NRI deposits (jumped sharply to \$36bn vs \$4.6bn same period last year), pushing up Apr-Jul26 BOP to \$12.7bn surplus, more than double of \$4.8bn same time last year.



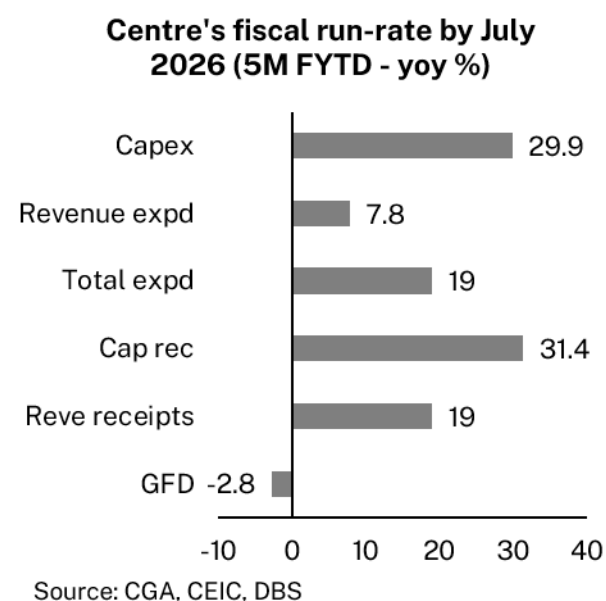
Oil prices are the main swing factor for the CAD this year, with the current run-rate tracking our forecast at -1.1% of GDP for FY27. This suggests that the widening in the CAD is commodity-price related rather than driven by higher demand.

On the other hand, capital flows are being buttressed by the special swap windows introduced by the central bank,

which raised a cumulative \$143bn between June and August, through non-resident deposits and external borrowings. This has helped to fill the gap from subdued portfolio flows and net investment trends. **We expect FY27 current account deficit to track -1.1% of GDP in FY27, with the balance of payments to register upwards of \$80bn surplus (vs -\$23.6bn deficit last year).** Into FY28, the dependency of capital flows on organic drivers like portfolio flows and FDI is set to increase, underscoring the need for higher vigilance.

FISCAL RUN-RATE

The FY27 fiscal run-rate points to a stronger revenue momentum, which has helped to keep the FYTD deficit in check, even as expenditure was frontloaded owing to subsidy payments and capex disbursements. April-July 2026 deficit stands at a third of the full-year balance.



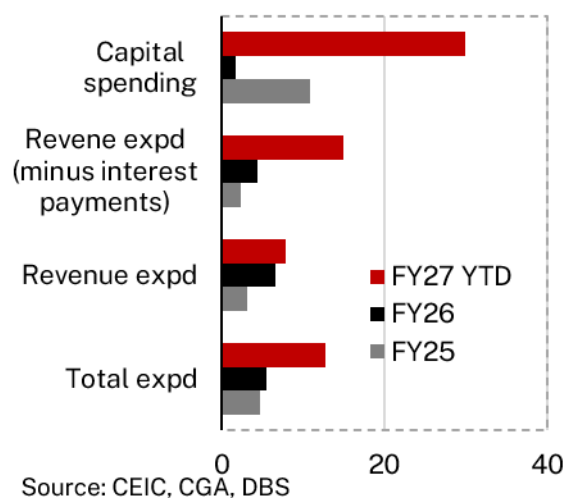
Both tax and non-tax receipts fared better than the comparable period year ago, helped by stronger corporate tax collections, STT transaction revenues, and RBI dividend, amongst others.

Setting 2QFY for a strong start, net direct tax collections rose 13% yoy by mid-Sep26, driven by net corporate tax collections up 19.5%. Net non-corporate tax collections were up 6%, besides STT collections up a sharp 53% yoy. Add to this, divestments have also fared better than expected this year, with ~78% raised by August, accompanied by dividends & profits (at 83% of budget by Jul26).

Under expenditure, about 33% of the full year allocation was allocated by July 2026. The subsidy outgo rose sharply, up 35% yoy, led by higher food at 23% and fertiliser at 46% (already accounting for nearly two-third of the full year budget) led by surging global DAP and urea prices. With global prices remaining high, the actual outgo might be higher than budgeted INR 1.7trn, likely towards INR 2.5trn. Capital spending also remained apace, up 30% yoy in first five months of the year.

Overall, strong growth in tax and non-tax receipts allowed the centre to sustain higher spending while containing the extent of fiscal slippage until July 2026 (FYTD). A strong nominal GDP rate (helped by higher inflation) will also provide a favourable denominator effect.

Central government expenditure - (% FYTD yoy)



IN SUM

The economy exhibited resilience in the face of a tough external environment in the first quarter, with part of that stability likely to extend to 2QFY27 as well. Tighter monetary conditions, El Nino impact and base effects from passage of post-indirect tax jump will moderate headline growth in 2HFY. Nonetheless for the year, we expected growth to stay north of 7%, factoring in a strong start.

ECONOMICS & STRATEGY

Taimur BAIG, Ph.D.

Chief Economist
Global

taimurbaig@dbs.com

Mo Ji, Ph.D.

Chief Economist
China/HK SAR

mojim@dbs.com

Han Teng Chua, CFA

Senior Economist
Asean

hantengchua@dbs.com

Wei Liang CHANG

FX & Credit Strategist
Global

weiliangchang@dbs.com

Tieying MA, CFA

Senior Economist
North Asia

matieying@dbs.com

Philip WEE

Senior FX Strategist
Global

philipwee@dbs.com

Mervyn Teo

Senior Credit Analyst
USD, SGD, AUD

mervynteo@dbs.com

Eugene LEOW

Senior Rates Strategist
G3 & Asia

eugeneleow@dbs.com

Sherilyn Chew

Multi-asset Strategist
Global

sherilync Chew@dbs.com

Ian Haan Chui

Credit Analyst
USD

ianchui@dbs.com

Samuel TSE

Rates Strategist
Asia

samueltse@dbs.com

Tracy Li Jun LIM

Credit Analyst
USD, SGD

tracylimt@dbs.com

Joel SIEW, CFA

Credit Analyst
USD, SGD, AUD

joelsiew@dbs.com

Amanda SEAH

Credit Analyst
USD, SGD, AUD

amandaseah@dbs.com

Teng Chong LIM

Credit Analyst
USD, SGD, AUD

tengchonglim@dbs.com

Daisy SHARMA

Analyst
Data Analytics

daisy@dbs.com

Iris GAO

Credit Analyst
USD

irisgao@dbs.com

Radhika RAO

Senior Economist
Asean/EU/South Asia

radhikarao@dbs.com

Violet LEE

Associate
Publications

violetleeyh@dbs.com

Nathan CHOW

Senior Economist
China/HK SAR

nathanchow@dbs.com

Byron LAM

Economist
China/HK SAR

byronlamfc@dbs.com

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Forecasts, data preview, central bank watch

18th September 2026

KEY DATA RELEASES AND EVENTS NEXT WEEK

- We expect the PBOC to keep the 1Y LPR unchanged at 3.00%.
- Bank Indonesia is expected to the benchmark rate unchanged at 5.75%.
- Singapore's and Hong Kong's CPIs are expected to edge up from 2.2% YoY and 1.7% YoY in July to 2.3% and 1.8% in August respectively.



Taimur Baig PhD,
Chief Economist
taimurbaig@dbs.com



Samuel Tse,
Rates Strategist
samueltse@dbs.com

KEY FORECASTS FOR THE COMING WEEK

Event	DBS	Previous
Sep 21 (Mon)		
China: 1-year loan prime rate	3.00%	3.00%
Sep 23 (Wed)		
Indonesia: BI-rate	5.75%	5.75%
Taiwan: industrial production (Aug)	24.6% y/y	25.6% y/y
Singapore: CPI (Aug)	2.3% y/y	2.2% y/y
Hong Kong: CPI (Aug)	1.8% y/y	1.7% y/y
Sep 24 (Thu)		
Hong Kong: exports (Aug)	53.2% y/y	50.7% y/y
- imports	40.8% y/y	41.0% y/y
- trade balance	USD18.4bn	-USD4.9bn

The Week Ahead covers the key data releases and central bank events of the coming week, collating our macro forecasts.

CENTRAL BANK MEETINGS

People Bank of China (21 Sep)

We expect the PBOC to keep the 1Y LPR unchanged at 3.00%, maintaining a measured easing stance as resilient exports and industrial activity continue to support growth. Industrial production growth accelerated from 4.5% yoy in July to 5.2% in August, buoyed by strong exports despite soft domestic demand. High-tech manufacturing expanded by 16.7% yoy, supported by the regional AI and electronics upcycle. Domestic momentum, however, remains uneven. Retail sales growth slowed from 0.6% yoy in July to 0.4% in August, weighed down by weaker purchases of big-ticket items, including luxury goods, automobiles and furniture. Elevated precautionary savings and falling property prices continued to constrain household consumption. Investment conditions also deteriorated, with the fixed asset investment contraction widening from 6.7% yoy ytd in July to 7.2% in August. State-owned and private investment fell by 3.6% and 10.1% yoy, respectively, while property investment declined by 19.9% yoy ytd as developers prioritised completions over new starts. Against this backdrop, policymakers are likely to maintain a measured policy stance, relying on targeted fiscal support to sustain growth rather than further rate cuts.

Bank Indonesia (23 Sep)

Bank Indonesia is expected to the benchmark rate unchanged at 5.75% this month. New Governor Destry is likely to highlight tighter global financial conditions, and geopolitical risks as key risks of the horizon, while the domestic economy continues to be relatively resilient. After a considerable period of volatility in first half of the year, USDIDR has been rangebound

this quarter, lowering the need for currency-driven hikes. The incoming Finance Minister's past statements also point to a continued preference for fiscal prudence rather than fiscal activism. We expect broad adherence to fiscal thresholds, a preference to reallocate expenditure than to boost borrowings, and build buffers in the math to absorb unexpected shocks, to add to macro stability. Inflation is off its back, but still within the BI's target range. Against this backdrop and despite US Fed's hike, we expect Indonesia's policymakers to exhibit limited urgency to tighten policy at this juncture.

FORTHCOMING DATA RELEASES

Hong Kong SAR

Export growth is expected to accelerate from 50.7% yoy in July to 53.2% in August, in line with the pickup in China's export growth from 23.9% yoy to 25.0% over the same period. Trade momentum remains robust, supported by strong demand for AI-related electronics. Import growth is also expected to stay firm, reflecting sustained demand for intermediate and capital goods amid resilient export orders and gradually improving investment sentiment.

On the inflation front, CPI is projected to edge up from 1.7% yoy in July to 1.8% in August, supported by improving consumption sentiment. The overall diffusion index strengthened during the month, driven by gains in the retail trade and restaurant sub-indices. Mainland visitor arrivals increased by 13.3% yoy in August on a daily average basis, providing further support to domestic consumption. Renewed Middle East conflict during the month will also provide upward pressure to headline CPI.

Singapore

We expect Singapore's core and headline inflation to rise slightly to 2.1% yoy and 2.3% yoy, respectively, in August 2026, from 2.0% yoy and 2.2% yoy in July. The inflation readings likely reflected the continued lagged impact from higher global energy prices, such as a positive contribution from elevated electricity & gas price increases for a second consecutive month, and high transport inflation, while food inflation likely firmed. However, low albeit slightly rising accommodation cost increases and contained domestic services inflation should limit the overall increase in price pressures.

GROWTH, INFLATION, POLICY RATES & FX FORECASTS

	GDP GROWTH, % YOY				CPI INFLATION, % YOY			
	2024	2025	2026f	2027f	2024	2025	2026f	2027f
CHINA	5.0	5.0	4.5	4.3	0.2	0.0	1.0	1.0
HONG KONG	2.5	3.5	3.8	2.8	1.5	1.4	2.0	2.0
INDIA	7.4	7.3	7.8	6.8	4.9	2.2	4.5	4.2
INDIA (FISCAL YEAR) *	7.2	7.8	7.3	6.8	4.6	2.1	4.9	4.0
INDONESIA	5.0	5.1	5.3	5.1	2.3	1.9	3.3	2.2
MALAYSIA	5.2	5.2	5.2	4.5	1.8	1.4	2.0	2.0
PHILIPPINES**	5.6	4.5	4.7	5.0	3.2	1.7	6.5	4.0
SINGAPORE	5.3	5.0	5.0	3.0	2.4	0.9	2.2	2.0
SOUTH KOREA	2.0	1.0	3.5	2.4	2.3	2.1	2.6	2.7
TAIWAN	5.3	8.8	11.6	5.6	2.2	1.7	2.0	2.1
THAILAND	2.9	2.4	2.1	2.0	0.4	-0.1	1.7	1.0
VIETNAM	7.0	8.0	8.0	7.3	3.6	3.3	4.8	3.3
EUROZONE	0.7	1.5	1.2	1.2	2.3	2.2	3.1	2.1
JAPAN	0.1	1.2	0.9	1.0	2.7	3.2	1.8	1.5
UNITED STATES***	2.8	2.0	1.9	1.7	3.0	2.7	3.5	3.0

* 2020 = Fiscal year Apr20-Mar21 ** new CPI series *** eop for CPI inflation

POLICY INTEREST RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
CHINA*	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
INDIA	5.25	5.25	5.25	5.75	5.75	5.75	5.75	5.75
INDONESIA	4.75	5.75	5.75	5.75	5.75	5.75	5.75	5.75
MALAYSIA	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
PHILIPPINES	4.25	4.75	5.25	5.25	5.25	5.25	5.25	5.25
SINGAPORE**	1.16	1.16	1.60	1.80	2.00	2.00	2.00	2.00
SOUTH KOREA	2.50	2.50	3.00	3.25	3.25	3.25	3.25	3.25
TAIWAN	2.00	2.00	2.00	2.13	2.13	2.13	2.13	2.13
THAILAND	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
VIETNAM***	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50
EUROZONE^	2.00	2.25	2.50	2.75	3.00	3.00	3.00	3.00
JAPAN	0.75	1.00	1.25	1.25	1.50	1.75	1.75	1.75
UNITED STATES	3.75	3.75	4.00	4.25	4.50	4.50	4.50	4.50

* 1-yr Loan Prime Rate; ** 3M SORA OIS; *** refinancing rate; ^ deposit facility rate

EXCHANGE RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	6.89	6.79	6.75	6.70	6.74	6.78	6.81	6.85
USD/HKD	7.84	7.84	7.83	7.83	7.83	7.83	7.83	7.83
USD/INR	94.8	94.7	93.4	93.9	94.4	95.0	95.5	96.1
USD/IDR	17041	17907	17760	17600	17660	17730	17790	17860
USD/MYR	4.05	4.08	4.02	3.95	4.00	4.05	4.10	4.15
USD/PHP	60.7	61.3	60.4	60.6	60.7	60.9	61.1	61.3
USD/SGD	1.29	1.29	1.28	1.27	1.28	1.29	1.29	1.30
USD/KRW	1516	1549	1465	1450	1490	1505	1520	1535
USD/THB	32.6	33.2	32.7	32.0	32.5	33.0	33.5	34.0
USD/VND	26340	26310	26290	26290	26430	26570	26710	26850
AUD/USD	0.69	0.69	0.70	0.71	0.70	0.70	0.69	0.69
EUR/USD	1.16	1.14	1.15	1.17	1.16	1.15	1.14	1.13
USD/JPY	159	163	156	151	153	154	155	157
GBP/USD	1.32	1.33	1.34	1.36	1.35	1.34	1.33	1.32

INTEREST RATE FORECASTS

		2026				2027			
		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
US	3M SOFR OIS	3.68	3.75	3.90	4.15	4.40	4.40	4.40	4.40
	2Y	3.79	4.16	4.60	4.65	4.70	4.70	4.70	4.70
	10Y	4.32	4.45	5.00	5.10	5.20	5.20	5.20	5.20
	10Y-2Y	52	29	40	45	50	50	50	50
Japan	3M TIBOR	1.27	1.41	1.50	1.60	1.75	1.85	1.85	1.85
	2Y	1.35	1.39	1.60	1.70	1.85	1.95	1.95	1.95
	10Y	2.35	2.72	2.80	2.85	2.95	3.00	3.00	3.00
	10Y-2Y	100	133	120	115	110	105	105	105
Eurozone	3M EURIBOR	2.08	2.32	2.70	2.95	2.95	2.95	2.95	2.95
	2Y	2.62	2.53	2.90	3.00	3.00	3.00	3.00	3.00
	10Y	3.00	2.86	3.30	3.40	3.50	3.60	3.70	3.80
	10Y-2Y	39	33	40	40	50	60	70	80
Indonesia	IDR 3M OIS	4.12	6.45	5.90	5.90	5.90	5.90	5.90	5.90
	2Y	6.31	7.21	6.90	6.80	6.70	6.65	6.60	6.50
	10Y	6.86	7.16	7.00	6.95	6.90	6.90	6.90	6.90
	10Y-2Y	55	-5	10	15	20	25	30	40
Malaysia	3M KLIBOR	3.37	3.45	3.35	3.35	3.35	3.35	3.35	3.35
	3Y	3.26	3.26	3.35	3.30	3.30	3.25	3.25	3.25
	10Y	3.63	3.60	3.80	3.85	3.85	3.85	3.80	3.80
	10Y-3Y	37	35	45	55	55	60	55	55
Philippines	3M NDF implied yield	6.09	4.94	5.55	6.05	6.05	6.05	6.05	6.05
	2Y	5.42	6.08	6.20	6.25	6.25	6.30	6.35	6.35
	10Y	6.98	6.90	7.35	7.45	7.50	7.55	7.60	7.65
	10Y-2Y	156	82	115	120	125	125	125	130
Singapore	3M SORA OIS	1.16	1.16	1.60	1.80	2.00	2.00	2.00	2.00
	2Y	1.61	1.58	1.95	2.10	2.20	2.20	2.20	2.20
	10Y	2.29	2.04	2.50	2.60	2.70	2.70	2.70	2.70
	10Y-2Y	68	45	55	50	50	50	50	50
Thailand	3M BIBOR	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15
	2Y	1.41	1.14	1.15	1.20	1.25	1.30	1.35	1.35
	10Y	2.23	2.04	2.10	2.20	2.30	2.40	2.50	2.60
	10Y-2Y	82	90	95	100	105	110	115	125
China	1Y LPR	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
	2Y	1.37	1.25	1.25	1.25	1.25	1.25	1.25	1.25
	10Y	1.86	1.73	1.75	1.80	1.80	1.85	1.85	1.85
	10Y-2Y	48	48	50	55	55	60	60	60
Hong Kong, SAR	3M HIBOR	2.36	2.97	3.10	3.35	3.60	3.60	3.60	3.60
	2Y*	2.82	3.43	3.90	3.95	4.00	4.00	4.00	4.00
	10Y*	3.08	3.45	4.20	4.30	4.40	4.40	4.40	4.40
	10Y-2Y	26	2	30	35	40	40	40	40
Korea	3M CD	2.82	2.92	3.25	3.50	3.50	3.50	3.50	3.50
	3Y	3.56	3.70	3.75	3.90	3.90	3.90	3.90	3.90
	10Y	3.88	4.07	4.20	4.35	4.35	4.35	4.35	4.35
	10Y-3Y	32	37	45	45	45	45	45	45
India	3M MIBOR	7.25	6.61	6.30	6.80	6.80	6.80	6.80	6.80
	2Y	6.37	5.99	6.50	6.70	6.75	6.75	6.75	6.75
	10Y	7.04	6.75	7.00	7.10	7.15	7.15	7.15	7.15
	10Y-2Y	67	76	50	40	40	40	40	40

%, eop, govt bond yield for 2Y and 10Y, spread bps

Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

ECONOMICS & STRATEGY

Taimur BAIG, Ph.D.

Chief Economist
Global

taimurbaig@db.com

Mo Ji, Ph.D.

Chief Economist
China/HK SAR
mojim@db.com

Han Teng CHUA, CFA

Senior Economist
Asean
hantengchua@db.com

Wei Liang CHANG

FX & Credit Strategist
Global
weiliangchang@db.com

Tieying MA, CFA

Senior Economist
North Asia
matieying@db.com

Philip WEE

Senior FX Strategist
Global
philipwee@db.com

Mervyn TEO

Senior Credit Analyst
USD, SGD, AUD
mervynteo@db.com

Eugene LEOW

Senior Rates Strategist
G3 & Asia
eugeneleow@db.com

Sherilyn CHEW

Multi-asset Strategist
Global
sherilync Chew@db.com

Ian Haan Chui

Credit Analyst
USD
ianchui@db.com

Samuel TSE

Rates Strategist
Asia
samueltse@db.com

Tracy Li Jun LIM

Credit Analyst
USD, SGD
tracylimt@db.com

Joel SIEW, CFA

Credit Analyst
USD, SGD, AUD
joelsiew@db.com

Amanda SEAH

Credit Analyst
USD, SGD, AUD
amandaseah@db.com

Teng Chong LIM

Credit Analyst
USD, SGD, AUD
tengchonglim@db.com

Daisy SHARMA

Analyst
Data Analytics
daisy@db.com

Iris GAO

Credit Analyst
USD
irisgao@db.com

Radhika RAO

Senior Economist
Asean/EU/South Asia
radhikarao@db.com

Violet LEE

Associate
Publications
violetleeyh@db.com

Nathan CHOW

Senior Economist
China/HK SAR
nathanchow@db.com

Byron LAM

Economist
China/HK SAR
byronlamfc@db.com

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From Tailwinds to Trade-Offs

Southeast Asia Outlook

2026–2035

A collaboration between

BAIN & COMPANY 

 **DBS**

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NAVIGATING THE POLITICS OF BUSINESS



Authors and Acknowledgments

Ravi Vijayaraghavan is a Senior Partner at Bain & Company and previously led the firm's Asia-Pacific Technology Practice. You can reach him at ravi.vijayaraghavan@bain.com.

Taimur Baig is a Managing Director and the Chief Economist at DBS Bank in Singapore. You can reach him at taimurbaig@db.com.

Hans Vriens is the Founder and Managing Partner of Vriens & Partners, a government affairs consultancy across Southeast Asia. You can reach him at hans@vrienspartners.com.

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At a Glance

- 01** | Southeast Asian economies have held up remarkably well despite recent turbulence, but structural differences across countries are widening the quality and concentration of growth.
- 02** | Our base case forecast for 2026 to 2035 remains broadly intact at 4.8%. For comparison, our 2024 forecast called for 5.1% over the 2024 to 2034 period.
- 03** | Vietnam remains the regional growth leader while Thailand lags its counterparts.
- 04** | However, broader global economic, technological, and geopolitical contexts force us to consider a wider fan of potential outcomes across different scenarios.
- 05** | Each country possesses a markedly different ability to capture upside and build resilience against the downside. In a downside scenario, Indonesia, the Philippines, and Thailand are most exposed; in more favorable conditions, Malaysia, Singapore, and Vietnam capture disproportionate upside.
- 06** | When it comes to policy, the core levers for growth identified in our prior *Southeast Asia Outlook* report remain valid; however, the environment now places greater weight on institutional resilience, AI adoption, and energy security.
- 07** | Ongoing shifts in geo-economics, technology, and domestic political trends make the current juncture a sensitive one. These 10-year forecasts hinge acutely on near-term policy choices and growth outcomes in the early years.



Introduction

The *Southeast Asia Outlook* is an ongoing collaboration between Bain & Company, DBS, and Vriens & Partners. In this third edition, the headline is reassuring: On average, SEA-6 nations grew 5.1% in 2024 and 2025, mirroring our projection.

This performance is remarkable given recent turbulent conditions. However, the aggregate figure masks a sharp, structural divergence between nations. For example, Vietnam achieved a 7.5% growth rate, whereas Thailand delivered just 2.7% growth.

Geopolitical, technological, and trade shifts will continue to influence outcomes. However, performance over the next decade will be notably influenced by near-term choices and domestic policy actions. Accordingly, this year's

report includes an expanded range of outcomes, demonstrating the upside and downside possibilities for each country as a "fan" of potential trajectories. It also suggests country-specific priorities to accelerate growth and create durable advantages.

Viewed broadly, all Southeast Asian countries have the capacity for growth. In the coming years, the global economic and political context, domestic policy choices, and implementation effectiveness in each country will determine how successful they are in realizing their inherent potential.

Performance Recap

Over the past three decades, Southeast Asia has demonstrated a quiet durability.

The region has grown steadily through financial crises, a global pandemic, and intensifying competition from its larger neighbors.

All SEA-6 economies grew faster in the 2024 to 2025 period than in the prior decade. Since 1996, Vietnam has consistently led the region, while Thailand has remained the laggard for the last two decades (see Figure 1).

Figure 1 Over the past 30 years, Southeast Asia has experienced healthy GDP growth

Real GDP Indexed to 1996 (1996–2025, x)



Economy	2025 Real GDP (USD B)	'96-'05 Avg GDP Growth	'06-'15 Avg GDP Growth	'16-'25 Avg GDP Growth	'24-'25 Avg GDP Growth
Indonesia	824	2.9%	5.6%	4.2%	5.1%
Malaysia	405	4.8%	4.9%	4.0%	5.2%
Philippines	404	4.2%	5.5%	4.6%	5.1%
Singapore	454	5.3%	5.7%	3.5%	5.2%
Thailand	351	3.2%	3.4%	2.0%	2.7%
Vietnam	271	7.2%	6.3%	6.3%	7.5%
SEA-6	2,710	3.9%	5.2%	4.1%	5.1%
China	16,840	9.3%	9.6%	5.6%	5.0%
India	3,704	6.3%	6.8%	5.9%	7.4%

Notes: 2025 real GDP is derived from constant-price GDP (local currency units) and converted to 2025 USD using average 2025 exchange rates; China GDP excludes Hong Kong and Macau.
Sources: CEIC; IMF; World Bank; government sources





Manufacturing value-added has declined, except in Vietnam

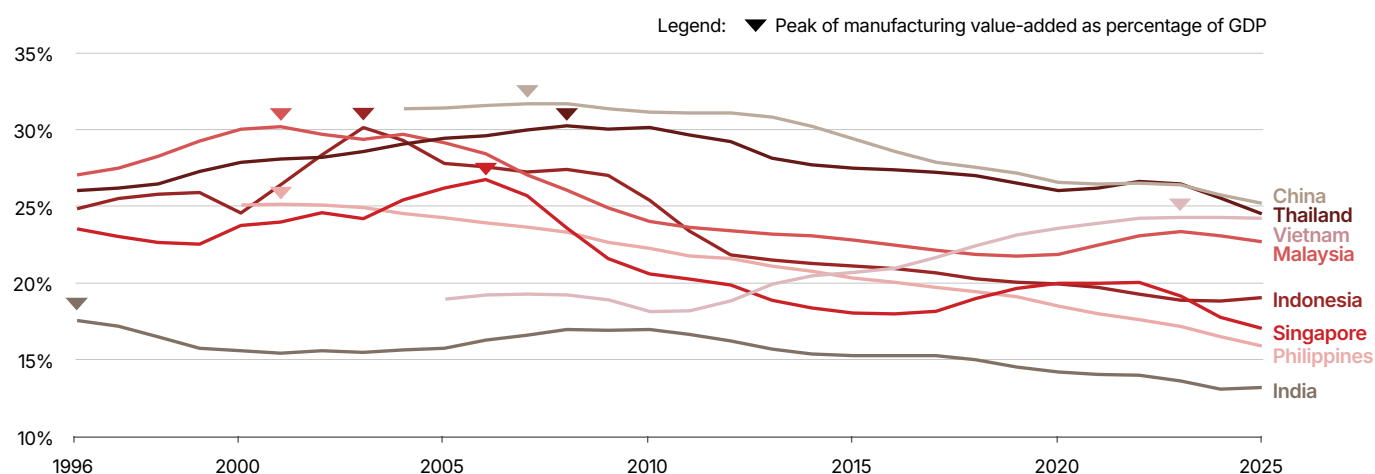
Manufacturing value-added as a share of GDP has declined from its mid-2000s peak across nearly the entire region (see Figure 2). Vietnam is the singular exception to this trend. Its manufacturing activity was notably higher, underpinned by China Plus One investments in electronics and machinery.

The decline in manufacturing's share of GDP is notable, and is consistent with patterns worldwide as incomes have risen. An innovative services

sector can generate substantial employment, as seen in many middle- and high-income countries. Southeast Asian nations can build strong economies through this shift in sectoral concentration. Even so, manufacturing employment has often served as a strong force propelling lower income families into the middle class, and continued emphasis on the creation and retention of manufacturing jobs will serve this region well.

Figure 2 Excluding Vietnam, manufacturing's share of GDP has been declining since the early 2000s

Manufacturing Value-Added as Percentage of GDP (1996–2025, three-year rolling average)



Source: World Bank

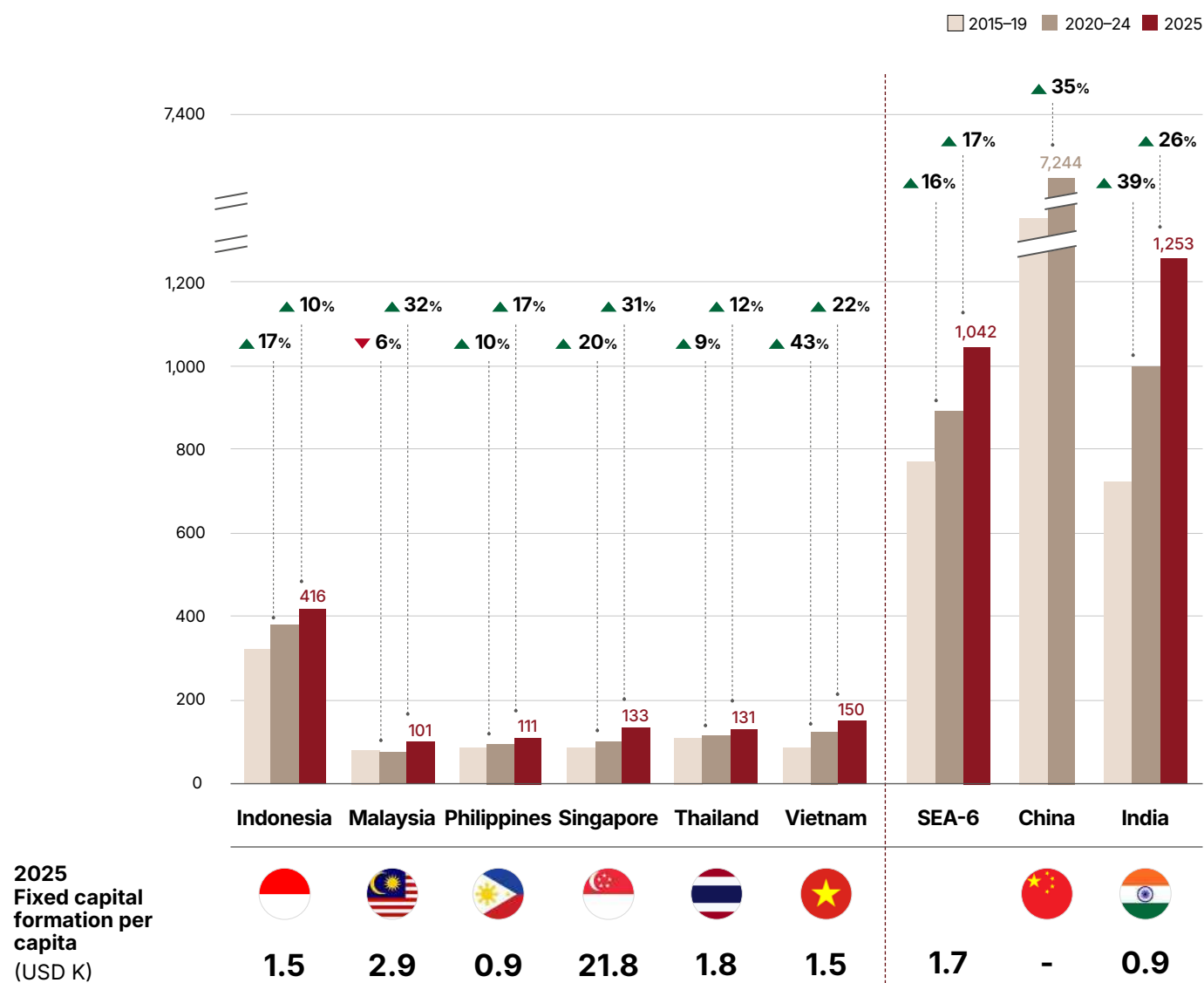
Domestic capital formation remains strong, led by Indonesia, Singapore, and Vietnam

Domestic capital formation remains robust, reflecting confidence in the region's growth prospects. Collectively, the SEA-6 increased gross fixed capital formation by 16% between the 2015 to 2019 and 2020 to 2024 periods, and by an additional 17% in 2025 (see Figure 3).

The underlying drivers are country specific. Vietnam achieved standout growth through export manufacturing recovery and strong public infrastructure investments. Singapore's growth was driven by public-led construction and semiconductor expansion, while Indonesia's growth reflected continued investment in downstream industries.

Figure 3 Overall, domestic capital formation remains strong, reflecting confidence in the region

Average Annual Gross Fixed Capital Formation (2015–2025, USD Billion)



Note: Reported in current USD
Sources: World Bank; Euromonitor

Foreign direct investment has surged and partner mix has shifted, reflecting global supply chain realignment

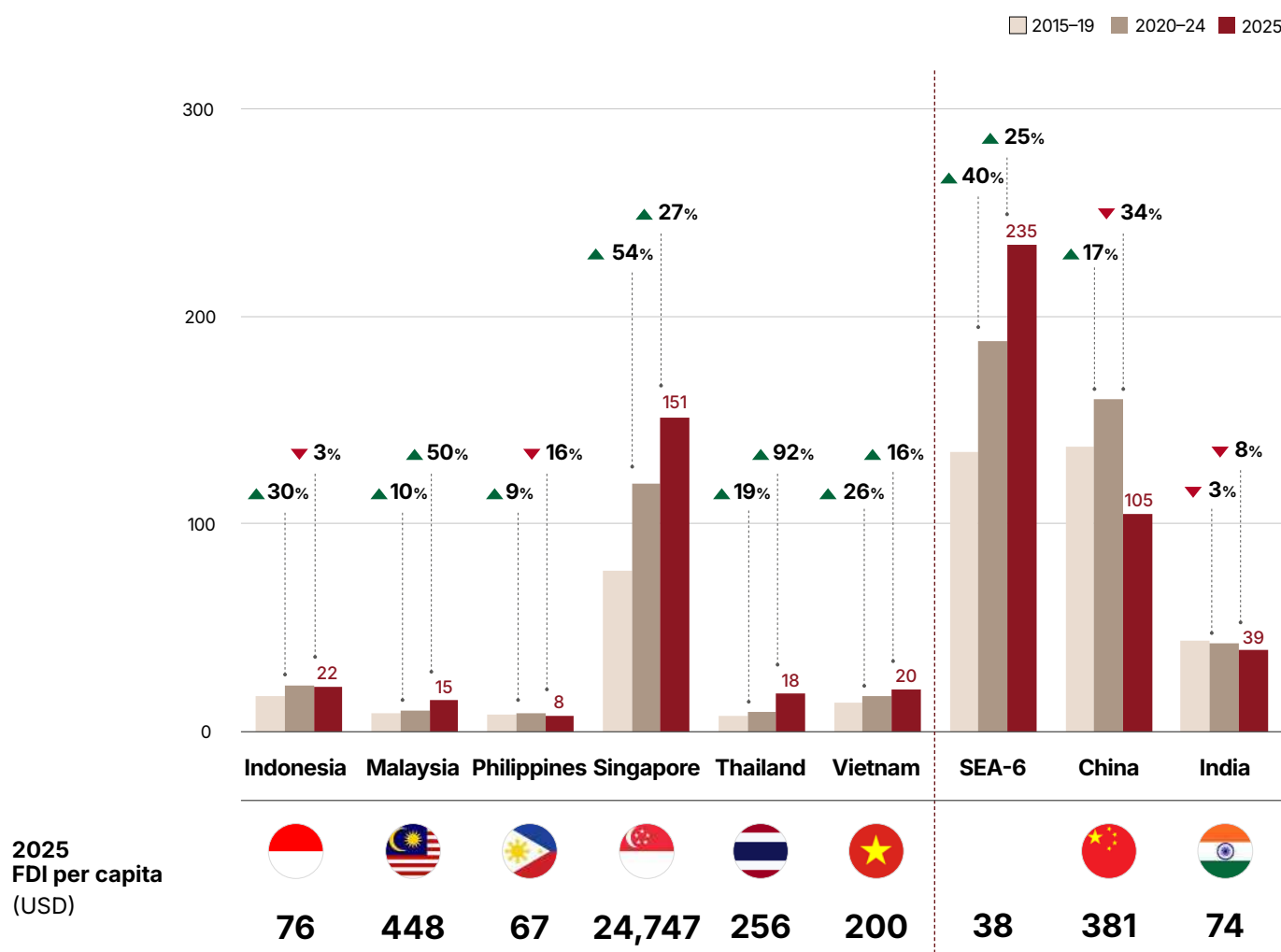
Foreign direct investment (FDI) inflows surged, although investments are increasingly concentrated in a few hubs. Singapore alone captured more than 60% of total regional FDI, leveraging its role as a hub for finance, semiconductors, and biomedical manufacturing. Indonesia and Vietnam were also beneficiaries, while Thailand's inflows materially improved via digital infrastructure and advanced electronics investments. Malaysia's semiconductor

and data center commitments could signal a stronger pipeline ahead, although they have lagged historically.

The source mix for FDI has shifted, matching global supply chain realignments. In 2025, the SEA-6's upward trajectory continued, with net FDI inflows surging 25% while China's contracted by 34% (see Figure 4).

Figure 4 FDI inflow has increased across Southeast Asia, led by Singapore

Average Annual Net FDI Inflow (2015–2025, USD Billion)



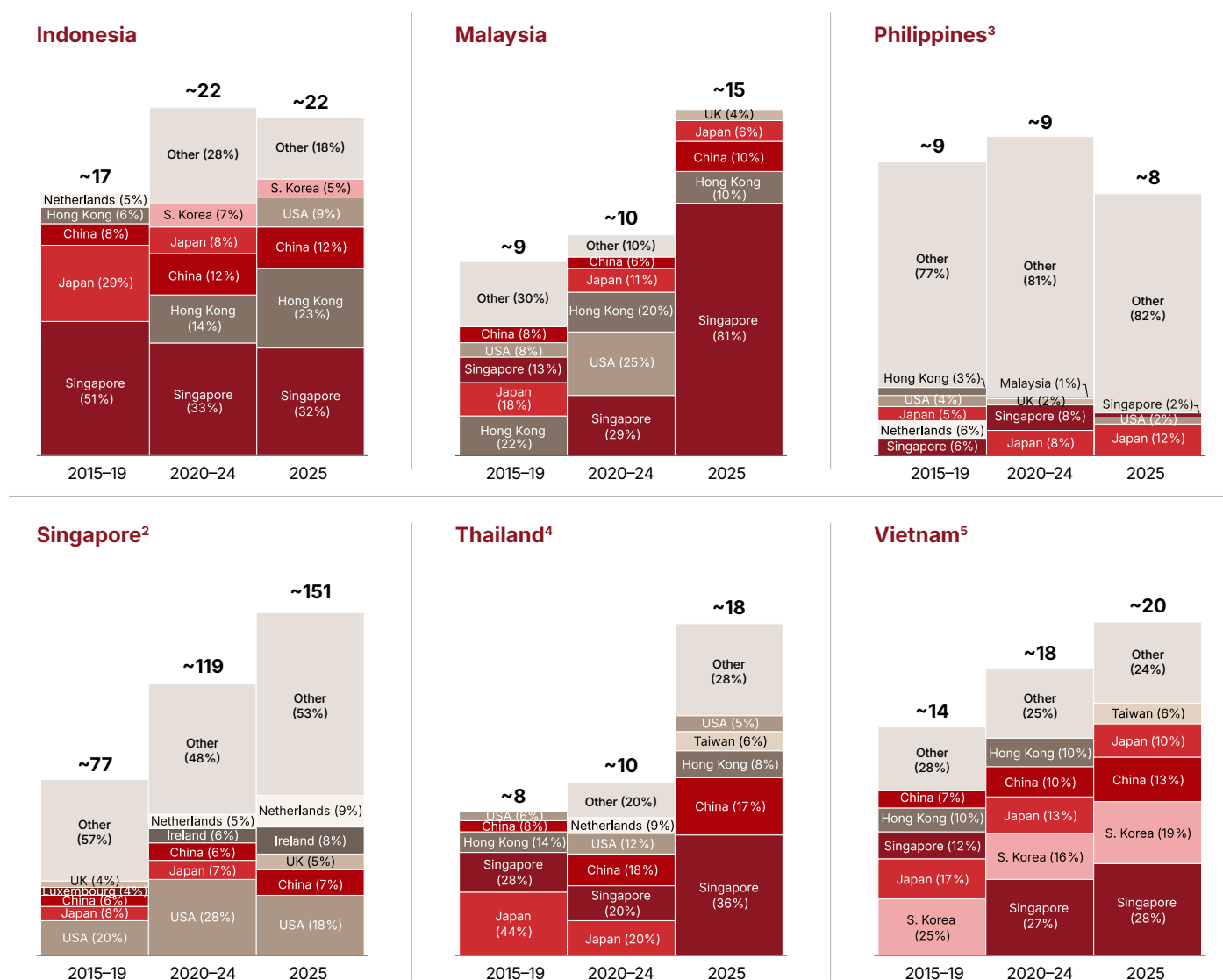
Sources: CEIC; World Bank; government sources; Euromonitor

Singapore is increasingly emerging as ASEAN's regional capital hub and is now the largest FDI source into Indonesia, Malaysia, Thailand, and Vietnam. The US share of regional investment nearly doubled, climbing from 11% in the 2015 to 2019 period to 20% in 2020 to 2024 (see Figure 5). The US is the top FDI source in Singapore and is expanding its presence in Malaysia through investments in cloud infrastructure, AI, and data centers.

Meanwhile, Chinese FDI has also grown in selected markets, reflecting supply chain diversification and manufacturing relocation trends. The strongest gains were visible in Indonesia's nickel downstreaming and electric vehicle (EV) battery supply chains, Thailand's EV and electronics industries, and Vietnam's export-oriented manufacturing base.

Figure 5 FDI is becoming more diversified, with fewer legacy concentrations and a stronger US-China tilt

Average Annual FDI by Source Country¹ (USD Billion)



Notes: (1) Differences vs. total FDI figures reflect source/methodology differences; (2) "Other" includes South and Central America and the Caribbean, which cannot be separately identified; (3) Country breakdown is available only for equity capital; reinvested earnings and debt instruments are not allocated by country, resulting in a larger "Other" bucket; (4) Country-level shares are based on gross FDI inflows and applied proportionally to estimate the country breakdown of net FDI inflows; (5) 2025 country-level allocation is based on January–April data, with the same allocation applied to the remainder of the year. Partner-country allocation based on CEIC-registered FDI capital and applied proportionally to Total Net FDI inflows from the World Bank

Sources: CEIC; World Bank; government sources

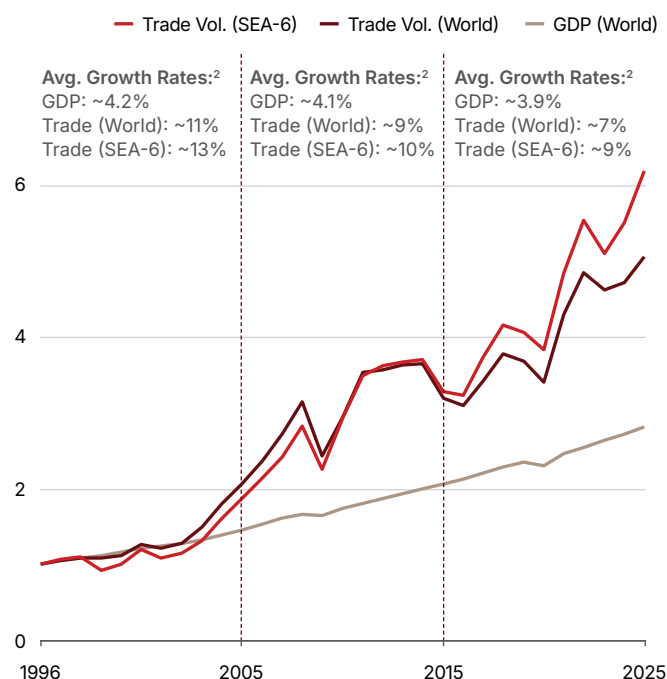
Trade dependence remains Southeast Asia's greatest strength and most significant vulnerability

Trade remains one of Southeast Asia's greatest strengths and, perhaps, a potential vulnerability. Trade intensity hovers around 90% of regional GDP—more than double the global average—making the region exposed to external friction (*see Figure 6*).

Exports performed strongly in 2024 and 2025. The SEA-6 benefited from front-loading ahead of US tariff changes in early 2025, supply chain reconfigurations, and a recovery in global electronics demand led by the AI super-cycle.

Figure 6 Southeast Asia is one of the most trade-exposed regions in the world

Real GDP and Trade Volume¹ Indexed to 1996 (1996–2025)



TRADE AS % OF GDP	1996–2005	2006–15	2016–25
World	27%	44%	41%
US	11%	16%	17%
EU ³	36%	58%	63%
China	18%	39%	33%
India	13%	34%	29%
SEA-6	60%	90%	89%

Southeast Asia's growth remains tightly linked to external demand, with trade consistently outpacing GDP over the long run.

Notes: (1) Real GDP indexed to constant 2025 prices (based on 2025 USD fixed exchange rate), trade volume includes both imports and exports of total merchandise goods; (2) Represents 10-year average growth rates excluding periods of crises: 1995–2005 excludes 1998 (Asian Financial Crisis) and 2001 (Dot com Bubble and 9/11), 2005–2015 excludes 2009 (trough of the Great Financial Crisis), and 2015–2025 excludes 2020 (Covid-19 pandemic); (3) EU 1995–2005 average only captures data from 2000–2005 period, when the data was published
Sources: World Trade Organization; Euromonitor

Looking ahead, the region will need to navigate tensions and trade vulnerabilities created by protectionist policies in the US and an economically assertive China.

The destination mix confirms Southeast Asia's growing role in global supply chains and illustrates the linkage between imports and exports (*see Figure 7*). Vietnam's inputs track to its electronics build-outs, while Malaysia's reflect its semiconductor-heavy economy. Singapore's diversified import mix reflects both its role as an intermediary and its higher-value manufacturing activity.

China has become the dominant source country, with its share of imports rising across the region. As regional manufacturing has expanded, the SEA-6 have shown a greater reliance on Chinese components and machinery.

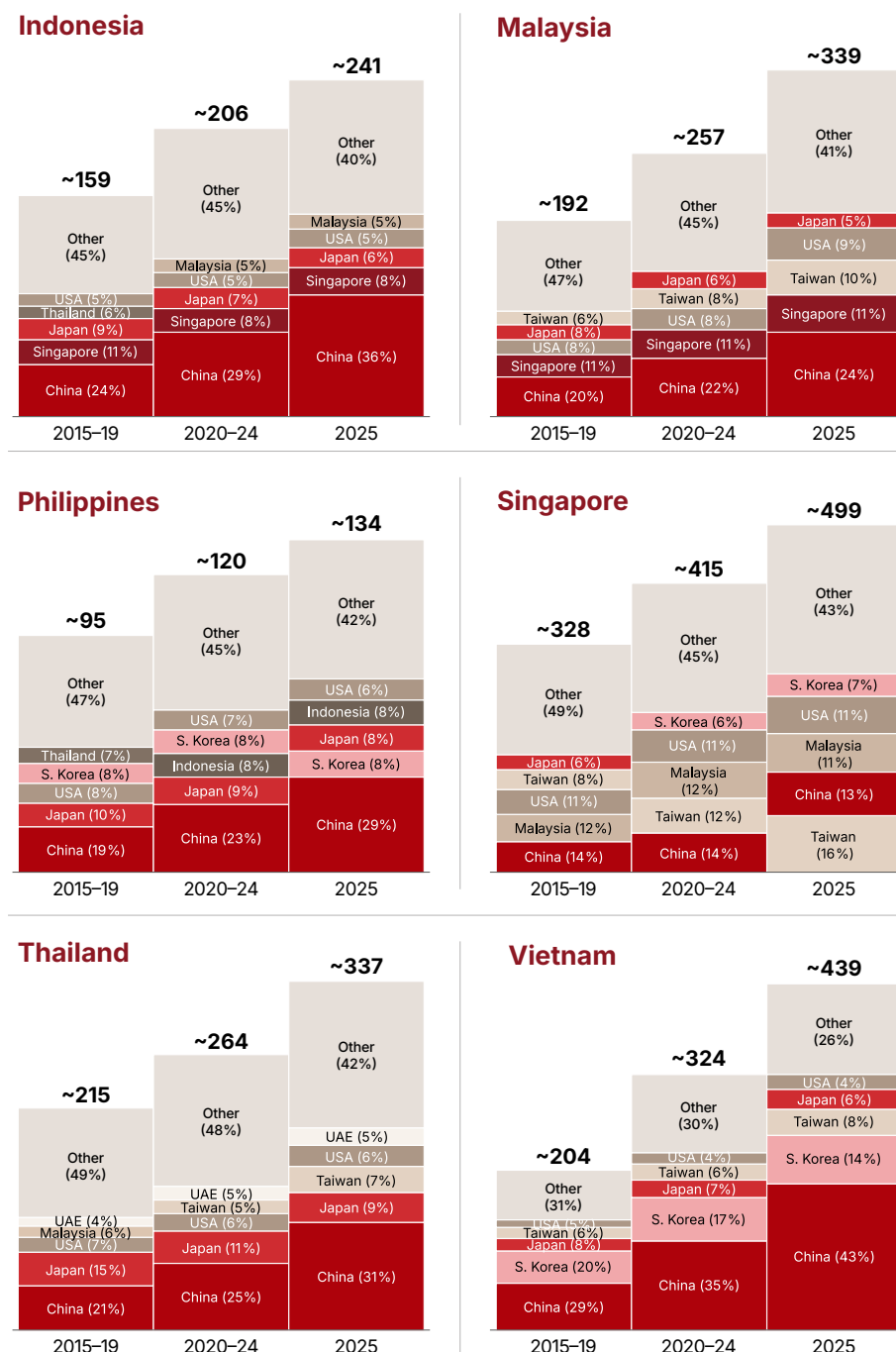
Southeast Asia's shipments to the US increased across the board, most notably from Vietnam, where FDI-led manufacturing surged. US tariffs on Chinese goods also expanded the range of products that Vietnam sends to the US market.

Recent export gains have been sector-driven rather than broad-based. Because these cycles are tied to demand spikes in electronics and AI infrastructure, they have not yet translated into economy-wide productivity improvements.

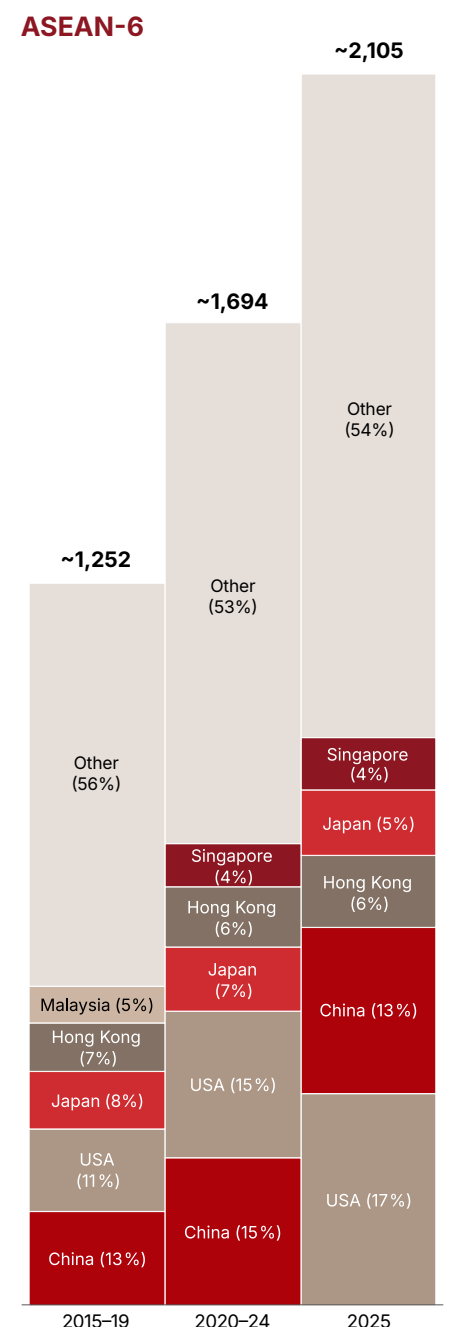
Moving forward, domestic structural policies will determine whether a country can convert temporary inflows into sustainable growth.

Figure 7

Average Annual Imports by Partner Countries (USD Billion)



Total Annual Exports by Partner Countries (USD Billion)



Sources: CEIC; literature search

Revisiting the 2024 to 2034 Forecast

Two years into our 10-year forecast, Southeast Asia's aggregate GDP is tracking with our 5.1% projection (see Figure 8). This performance is notable given the challenging environment, marked by intensifying US-China rivalries, rising protectionism, global shocks, and disruptive technology shifts.

Beneath the aggregate, however, country-specific outcomes have diverged more sharply than anticipated. Singapore's growth exceeded our forecast, in part riding a wave of AI-linked demand for its semiconductors. Vietnam and Malaysia also outperformed the regional average. Vietnam was

propelled by manufacturing exports and electronics- and semiconductor-related FDI, while Malaysia benefited from robust domestic demand, including strong investment momentum and exports tailwinds.

Conversely, Thailand, Indonesia, and the Philippines fell short. Thailand's performance reflected deeply entrenched structural issues; Indonesia was constrained by institutional uncertainty and uneven policy execution; and the Philippines saw growth impeded by weaker investment and public sector execution.

Figure 8 Regional growth matched projections but was uneven across countries

Real GDP Growth and Performance across Growth Drivers

Country	Real GDP Growth		Traditional Growth Drivers							New Growth Drivers				
	2024–34F	2024–25A	1. Ease of doing business	2. Diversify trade partners	3. Strengthen institutions	4. Improve workforce	5. Build infrastructure	6. Increase stability	7. Facilitate investment	1. Invest in new growth sectors	2. Foster tech-enabled disruptors	3. Strengthen capital markets	4. Accelerate green transition	5. Embrace multilateral initiatives
 Indonesia	5.7%	▼ 5.1%	▶	▶	▼	▶	▲	▶	▶	▶	▼	▶	▶	▲
 Malaysia	4.5%	▲ 5.2%	▲	▶	▲	▶	▲	▶	▶	▲	▼	▶	▼	▲
 Philippines	6.1%	▼ 5.1%	▲	▲	▶	▲	▶	▶	▶	▲	▼	▼	▼	▼
 Singapore	2.5%	▲ 5.2%	▲	▶	▶	▲	▶	▶	▶	▲	▶	▶	▶	▲
 Thailand	2.8%	▼ 2.7%	▶	▶	▼	▼	▶	▲	▶	▶	▼	▼	▶	▼
 Vietnam	6.6%	▲ 7.5%	▶	▲	▶	▶	▶	▲	▶	▲	▼	▲	▼	▶
SEA-6	5.1%	▶ 5.1%												

Sources: Bain analysis; literature search



Divergence is linked to growth frameworks

In our previous report, we narrowed in on 12 drivers that build a country's structural and policy foundations for growth, ranging from ease of doing business to political stability, workforce readiness, and progress on the green transition. As the external environment becomes more challenging, the domestic response to each driver bears more weight.

Across traditional growth drivers, differences in execution and institutional strength are becoming more pronounced. Singapore serves as the benchmark: Its progress is mainly constrained by demographic limits, though migration has kept the labor market stable. Malaysia has made the greatest improvements, adopting a pro-investment posture and improving both governance and infrastructure (e.g., ports, power connectivity). Progress in Indonesia remains mixed; substantial infrastructure progress has been offset by lagging workforce development and policy inconsistency. Thailand faces the most restrictive constraints, caught between a tightening labor supply and softer institutional momentum.

A clear tiering is also visible across new growth drivers. Singapore, Malaysia, and Vietnam have strengthened their positions. Singapore has the most advanced growth platform overall, leading in capital, technology, and ecosystem depth. Vietnam achieved the biggest gains over the past two years, significantly upgrading its manufacturing and investment capacity. However, the country's early-stage innovation ecosystem remains nascent.

Meanwhile, progress in the rest of the region is uneven or stalled. Indonesia has strong scale and downstreaming but weaker start-up momentum, shallower capital markets, and a slower green transition. In Thailand, selective investment inflows in data centers have not been matched by innovation scaling or capital market depth. The Philippines' gains in tech services have been capped by structural constraints, such as power grid limitations.

**There is a critical correlation:
The countries that systematically
improved across these growth
frameworks also outperformed
our forecasts. Their divergence is
both structural and widening.**

The 2026 to 2035 Forecast

Our updated baseline forecast expects the SEA-6 to grow at 4.8% on average between 2026 and 2035.

That is slightly below our previous forecast (5.1% for the 2024 to 2034 period) but faster than the region's growth rate over the prior decade (4.1%) (see Figure 9).

Figure 9 The SEA-6 are projected to average 4.8% annual growth between 2026 and 2035

SEA Projected Average Annual Growth (2026–2035, %)

Country	Historical Average			Forecast
	1996–2005	2006–15	2016–25	2026–35
 Indonesia	2.9	5.6	4.2	5.4
 Malaysia	4.8	4.9	4.0	4.3
 Philippines	4.2	5.5	4.6	5.8
 Singapore	5.3	5.7	3.5	2.7
 Thailand	3.2	3.4	2.0	2.2
 Vietnam	7.2	6.3	6.3	6.2
SEA-6	3.9	5.2	4.1	4.8

Sources: DBS projections; CEIC; IMF; World Bank; government sources

The revised forecast reflects a complex and volatile external environment offset by steady progress among current growth leaders. We expect Vietnam to retain the regional lead, holding an average annual growth rate of 6.2% through sustained FDI and productivity gains. By maintaining its pro-growth stance and fiscal discipline, Malaysia can achieve a 4.3% growth rate.

The Philippines and Indonesia both have the potential to substantially accelerate growth. The Philippines, which has a favorable demographic tailwind, could grow at a 5.8% average annual rate

as consumption, infrastructure, and governance reforms unlock investment. Similarly, Indonesia could reach a 5.4% growth rate by boosting domestic consumption and further industrializing its nickel and EV value chains.

As a mature economy, Singapore's growth rate is expected to stabilize around 2.7%, leveraging AI-driven productivity gains to offset demographic constraints. Thailand will anchor the SEA-6 with a 2.2% growth rate, held back by an aging population and fragmented politics.

Accounting for Global Uncertainty

Actual outcomes depend on a broad range of global economic, technological, and geopolitical contexts.

Southeast Asia's high trade intensity and reliance on FDI make it particularly sensitive to shifts in global conditions. Therefore, we've expanded this year's forecast to account for three scenarios that could evolve over the next decade (*see Figure 10*).

Figure 10 The 10-year growth outlook hinges on three plausible global scenarios

10-Year Growth Outlook Scenarios

	Downside Scenario Acrimonious rivalry and split world order	Base Scenario Heated rivalry and deteriorating world order	Upside Scenario Managed rivalry with repaired world order
Globalization and trade	- China-US rivalry hardens into bloc competition - Trade, finance, and institutions weaken or fragment	- US disruption continues and China remains mercantilist - Fiscal and populist pressures mount	- US, China, and other major powers step back from confrontation - US re-engages on trade and alliances
Tech and industrial competition	- Bifurcation of Chinese and US tech stacks and trading ecosystems - AI shock widens gaps between winners and laggards	- Parallel China and US AI development; SEA negotiates mixed access and selective decoupling - AI, robotics, and automation drive productivity gains	- Tech ecosystems remain competitive but connected - SEA becomes increasingly critical to both Chinese and US AI ecosystems
Conflict and escalation	- Conflicts disrupt energy, trade, and chokepoints - Proxy conflicts trigger market shocks	- Proxy conflicts persist but avoid major war - Energy, food, and FX buffers cushion external shocks	- Fewer proxy conflicts and lower military posture - Flashpoints remain unresolved but stable

Source: Bain analysis

Downside Scenario (further fragmentation)

Global political and economic rivalries accelerate, decoupling markets into incompatible technology stacks and hardened trade blocs. This environment would disrupt supply chains, curtail FDI, and force Southeast Asian nations to pick sides.

Base Scenario (continued erosion)

Rivalries persist, institutions gradually erode, and multilateral frameworks weaken—but the system largely remains intact. Southeast Asia retains the room to maneuver, capturing flows from supply chain diversification while effectively managing pressure from competing blocs.

Upside Scenario (improved coordination)

Geopolitical relationships are stabilized and multilateral coordination is restored, aiding trade flows. Southeast Asia is able to position itself as an indispensable node in global technology and innovation systems, capturing a disproportionate share of redirected trade, capital, and supply chain infrastructure.

Whichever scenario comes to pass will shape the ceiling and floor of what is achievable for the region; however, it will not be the primary determinant of success. Each country can (and likely will) make deliberate choices across trade, growth architecture, and resilience that together greatly impact its own economic performance.

Upside Potential and Resilience Vary by Country

While baseline growth is expected to remain relatively stable across the region, each country possesses a materially different capacity to capture upside growth and minimize downside exposure. We estimated the growth potential for each country across fans of possible outcomes (see Figure 11).

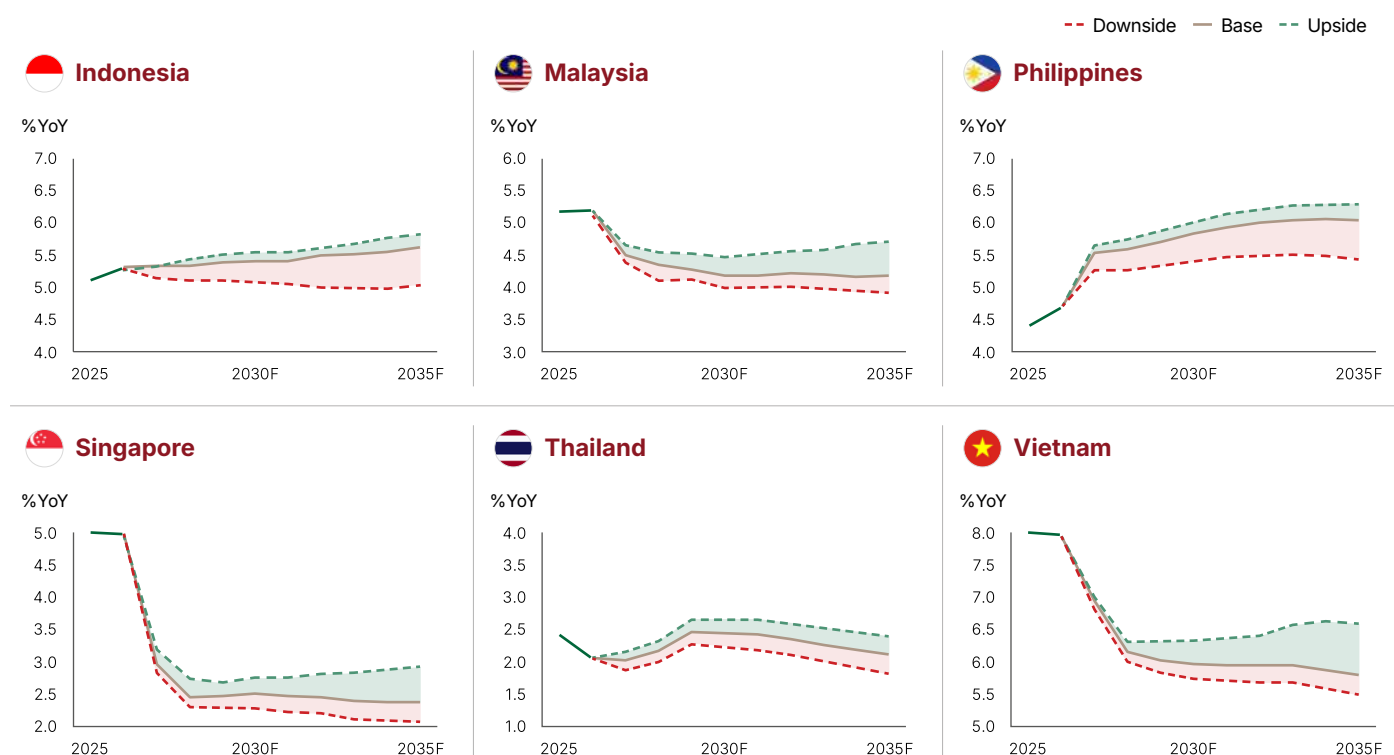
In a downside scenario, Indonesia, the Philippines, and Thailand are most exposed given their capital-flow sensitivities, energy dependence, political uncertainty, and weaker structural momentum. Vietnam and Malaysia are more moderately exposed; both retain strong industrial relevance, but their open, export-linked economies remain vulnerable to demand and supply-chain shocks. Singapore is the most resilient, supported by safe-haven status, deep markets, fiscal buffers, and its trusted-hub credibility.

In more favorable conditions, the pattern shifts. Malaysia, Singapore, and Vietnam capture disproportionate upside, leveraging their roles in capital intermediation and global manufacturing supply chains. Indonesia, Thailand, and the Philippines see more limited benefit, as persistent structural constraints limit their ability to translate an improved external environment into stronger growth.

Ultimately, global conditions establish the boundaries for each scenario, but domestic actions dictate whether a country converts opportunities into sustained growth.

Figure 11 Each country faces a distinct outcome range, where resilience sets the floor and structural advantages define the ceiling

Real GDP Growth (2025A–2035F¹, %)



Note: (1) 2025A reflects actual data; all years from 2026 onward are forecasts (F)
Source: DBS projections



Indonesia

Structural scale cannot offset institutional erosion

Indonesia has the most downside-skewed fan in the region. Its baseline floor is well supported by its domestic market and insulated by resource downstreaming in nickel and minerals. However, its upside ceiling is constrained by institutional vulnerabilities, populist fiscal policies, and spending pressures that risk accelerating investment outflows and weakening sovereign credit credibility.

In our projection, Indonesia will continue to attract selective FDI where natural resources and market scale matter, but translating this into broader productivity growth will be hampered by uneven execution and a lack of policy consistency.

Malaysia

Capturing more upside requires moving up the value chain

Malaysia's structural advantages limit its downside. It has a strong trade position, with exposure across US semiconductor supply chains and Chinese infrastructure investments, and is supported by resource buffers in palm oil, liquefied natural gas, and petroleum.

Upside capture is underpinned by substantial commitments in data centers, semiconductors, and AI-linked manufacturing. However, its ceiling is

capped by two structural gaps: Its semiconductor footprint is concentrated in lower-margin, back-end assembly, testing, and packaging segments rather than sticky, high-margin design or fabrication. Also, the country's talent pipeline is under severe strain. Until these gaps narrow, the investment pipeline will continue to outpace Malaysia's capacity to convert it.

The Philippines

Energy dependence and governance risks skew outcomes toward the downside

The Philippines has a wide downside-skewed fan. In its favor, attractive demographics, steady remittance inflows, and a consumption-led model insulate it from global trade disruption.

However, its growth architecture is vulnerable. Dependence on imported energy quickly turns external price shocks into household inflation, while

weak policy implementation hinders the conversion of investment commitment into actual deployment. Additionally, AI-driven automation creates longer-term risk to the business process outsourcing (BPO) sector. Without stronger energy security and governance consistency, growth could be capped below the Philippines' potential.

Singapore

Safe-haven depth anchors the floor, while hub status drives the upside

Singapore's trajectory is a picture of structural resilience: A contained downside is matched with meaningful upside potential.

The country's safe-haven status means capital and talent will flow toward Singapore in periods of stress rather than away, giving it a well-defended floor. In upside scenarios, Singapore's status as a trusted hub translates into deeper regional intermediation, expanded AI and advanced manufacturing activity, and broader capital flows.

Singapore is bound by energy dependence and demographic constraints. To sustain the base scenario, it will need to attract talent and make continued productivity gains through AI and automation. While Singapore's baseline growth projection is moderate, its track record suggests its ceiling may have room to rise.



Thailand

Structural headwinds compress the range in every scenario

Thailand's fan is the most compressed across the region, reflecting structural constraints that are equally binding in both directions. Its trajectory is also shaped more by domestic constraints than by the external environment.

The growth floor has genuine support that holds across most conditions: an established EV, electronics, and automotive manufacturing base;

broad trade and capital ties; and strong tourism. Yet domestic challenges restrict growth. Demographic decline, high household debt, and political fragmentation suppress the upside ceiling. These domestic constraints are unlikely to ease in any scenario. Furthermore, balancing alignment between Chinese supply chains and Western market access remains an ongoing challenge.

Vietnam

The region's highest upside story is supported by FDI attractiveness and its capacity to address constraints

Vietnam has the most upside-heavy fan across the SEA-6. Decades of reform have embedded it in the global electronics and semiconductor supply chains, establishing a baseline floor that cannot be quickly undone, and the country's broad trade relationships could cushion the impact if exports became more challenging.

While its floor is strong, Vietnam's ceiling sets it apart. Unlike other SEA-6 economies, Vietnam captures FDI from both US- and Chinese-aligned

supply chains. Under optimal conditions, this allows higher-value investments to scale across logistics, industrial parks, and upstream electronics, meaningfully compounding the base scenario.

Vietnam's constraints—power grid disruptions and shallow domestic capital markets—are solvable infrastructure and financial development challenges rather than structural deficits. Both are within Vietnam's capacity to address over the next decade.



Priorities to Accelerate Growth

Our 2024 report identified operational levers for building durable economic advantages.

While these levers remain unchanged, the current global climate has elevated three specific priorities: strengthening institutional resilience, fortifying energy systems, and capturing the AI dividend.

01 Strengthening Institutional Resilience

Institutions set the foundation for investor confidence, capital retention, and a government's capacity for consistent policy execution. In a volatile and fragmented global economy, institutional credibility is a major differentiator. Achieving it requires progress across three dimensions:

- **Governance and the rule of law** anchors investor confidence and reduces the cost of doing business.
- **Fiscal stability** absorbs external shocks and funds productive long-term investments.
- **Capital market depth** efficiently mobilizes domestic savings and foreign capital into growth opportunities.

Improvement across these three areas is self-reinforcing: Institutional credibility deepens domestic capital markets and attracts investments, which fund the infrastructure and innovation needed to sustain growth. The reverse is equally true: Institutional erosion quickly undermines progress on every other priority.

02 Fortifying Energy Systems

Energy has transformed from a basic utility into a binding growth constraint for many SEA-6 countries. Grid capacity and reliability determine whether an economy can expand its industrial base and support power-intensive AI infrastructure. Energy security is also a lever for managing cost and security risks as energy supply chains become more volatile. That makes energy infrastructure a strategic priority rather than a regulatory challenge. Fortifying energy systems calls for:

- **Reliability:** Achieving a consistent, uninterrupted power supply is the most immediate priority. This requires rapid grid modernization, expanded

storage capacity, and secure dispatchable generation capable of absorbing a variety of renewables.

- **Sustainability:** Renewable energy assets must become bankable through reformed procurement frameworks, payment certainty, and credible carbon commitments. These aren't simply climate gestures; they are prerequisites for attracting high-quality investments.
- **Security:** Import sources must be diversified to mitigate exposure to external supply shocks. Countries need to build strategic reserves while accelerating domestic baseload alternatives.

03 Capturing the AI Dividend

AI is emerging as the primary productivity lever of the decade, offering the potential to reshape industries and offset labor constraints. But value capture is not guaranteed. Economic returns will only accrue in countries that move beyond initial adoption and surface-level integration to deploy AI at enterprise-scale. To benefit from AI, countries must build a talent pipeline and establish policy conditions that make enterprise adoption commercially viable now.

Capturing the dividend requires action across three interconnected areas:

- **Policy and infrastructure:** Sovereign AI strategies, data governance frameworks, and domestically governed compute capacity will set the foundation for scaled deployment.
- **Enterprise adoption:** This means scaling beyond pilots into full operational integration and embedding AI into core business processes with measurable productivity outcomes. Tools also need to be accessible to benefit the broader economy, not just large firms.
- **Workforce skills and development:** Workforce readiness requires building AI capabilities in education systems while retraining the existing workforce for AI's labor impacts.

The Future Will Reflect Near-Term Policy Choices

Ongoing shifts in geo-economics, technology, and domestic policy trends make the current juncture a sensitive one.

But the sizable variance between regional growth floors and ceilings confirms that Southeast Asia's trajectory depends more on domestic policy decisions than external forces.

Institutional resilience, fortified energy systems, and AI integration are universal regional priorities, even though their relative importance varies based on each country's structural position.

Indonesia

The defining test is institutional credibility.

Without governance credibility and fiscal discipline, Indonesia will not scale to meet the energy or AI opportunity. Both require stronger investor confidence and disciplined execution.

Malaysia

The key question is conversion. Malaysia's strengths in AI infrastructure, energy systems, and institutional fundamentals give the country a distinct head start. The next phase depends on converting this foundation into deep ecosystem value through talent development, enterprise-level AI adoption, and productivity gains. In turn, this also requires policy continuity and consistent execution through the next electoral cycle.

The Philippines

The challenge is transition. Progress on energy and institutional resilience will enable the AI transition, but the more immediate priority is upgrading the BPO sector to mitigate automation pressures. The next few years will be critical; the Philippines must move into higher-value services while sustaining reform momentum through its next leadership transition.

Singapore

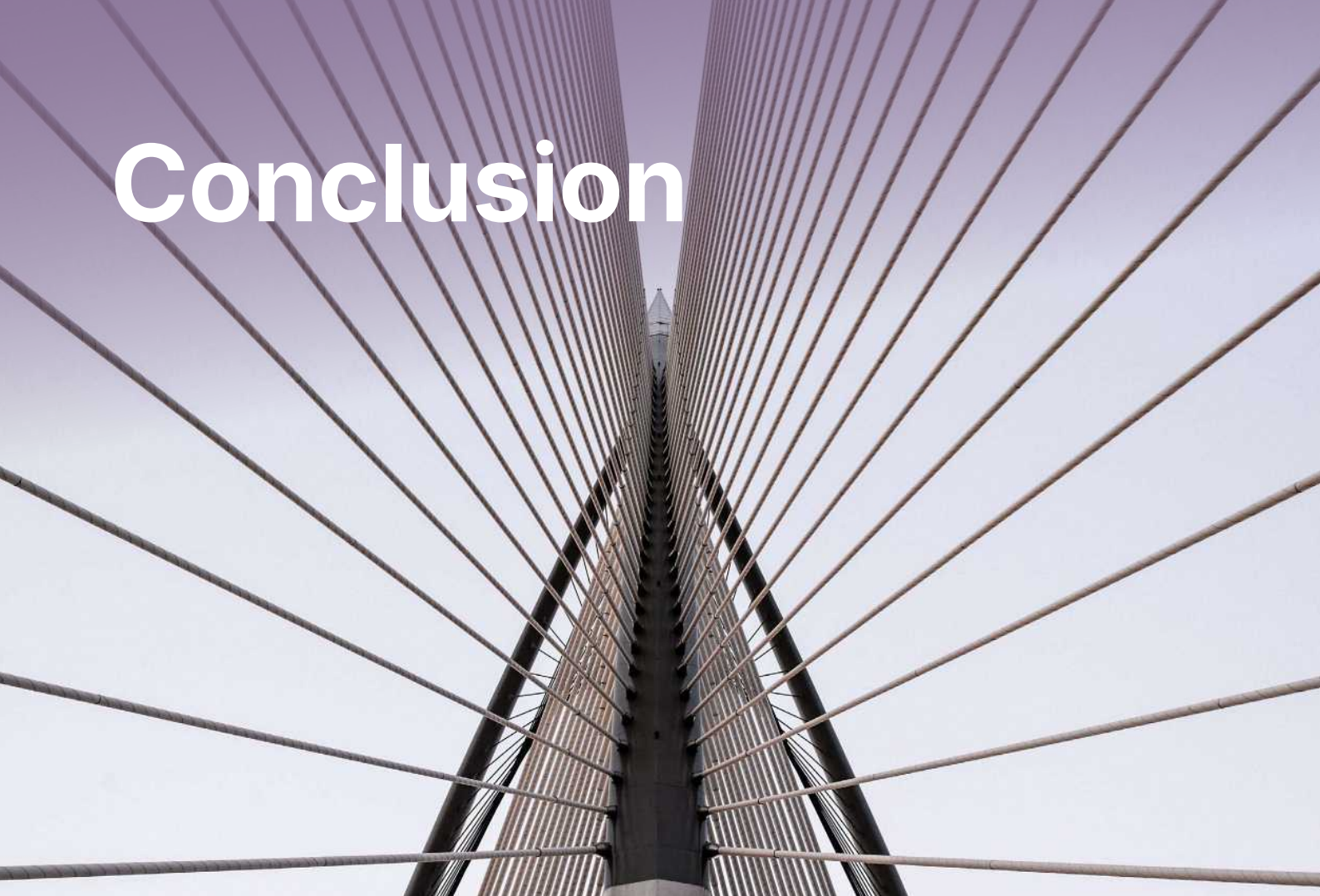
The priority is diffusion. Singapore's platform is exceptionally strong. Energy diversification is underway, institutional strengths are intact, and the country has the most advanced AI ecosystem. The priority now is converting AI leadership into broad productivity gains across mid-market firms and non-technology workers to offset the tightening labor supply.

Thailand

The critical variable is restoring institutional momentum. Structural reforms are needed to overcome declining growth and political fragmentation. In addition, because EV transition and Chinese competition are reshaping Thailand's core manufacturing landscape, quickly embedding AI and advanced manufacturing capabilities into the industrial base is a critical near-term move.

Vietnam

The primary constraint is execution. Power grid limitations and infrastructure bottlenecks threaten to cap the next phase of growth. To maintain its outperformer trajectory, the near-term priority is twofold: resolving energy reliability shortfalls that constrain high-value manufacturing and implementing strategic AI-led value chain upgrades before its low-cost assembly advantage erodes.



Conclusion

Southeast Asia is growing, with considerable structural divergence.

Countries with diversified industrial bases, a thriving services economy, stable institutional foundations, and strong fiscal management are more likely to weather downside risks and capture upside growth in a recovery. Conversely, those with narrower growth models or more constrained policy frameworks are likely to struggle in any scenario.

In the decade ahead, countries must continuously demonstrate institutional credibility, enhance energy security, and absorb advanced technological

capabilities. Nations that build and fortify these foundations will find the region's long-term tailwinds working in their favor.

The forecasts detailed in this report are entirely achievable. Performance over the next two to three years will decide which nations live up to their full potential.

Methodology

In this report, “Southeast Asia” and the “SEA-6” refer to Indonesia, Malaysia, the Philippines, Singapore, Thailand, and Vietnam. While not exhaustive, these six countries contribute to more than 95% of the region’s GDP.

DBS used total factor productivity, capital growth, labor, and human capital to inform the forecasts in this report. Data was derived from CEIC, the International Monetary Fund (IMF), and Penn World Table. We also relied on expertise from our partners at Bain & Company, DBS, and Vriens & Partners.

Our growth framework assessments drew from external indexes, databases, and ratings from the Association of Southeast Asian Nations Statistics Division (ASEANstats), CEIC, Euromonitor, the IMF, the United Nations Conference on Trade and Development, the World Bank, World Integrated Trade Solutions, and the World Trade Organization.

We also used selected benchmark indicators, including the Herfindahl-Hirschman Market Concentration Index, the World Bank’s Ease of Doing Business score, Human Capital Index, Logistics Performance Index, and Worldwide Governance Indicators. For our analysis of new growth drivers, we drew on the Global Innovation Index from the World Intellectual Property Organization; private technology investment and venture capital data from PitchBook and Tracxn; capital markets data from DBS; and energy, reliability, and emissions data from Wood Mackenzie and the Emissions Database for Global Atmospheric Research.

Please contact the authors for details regarding our methodology, forecasts, or analysis.



ECONOMICS & STRATEGY

Taimur BAIG, Ph.D.

Chief Economist
Global

taimurbaig@db.com

Mo Ji, Ph.D.

Chief Economist
China/HK SAR
mojim@db.com

Han Teng CHUA, CFA

Senior Economist
Asean
hantengchua@db.com

Wei Liang CHANG

FX & Credit Strategist
Global
weiliangchang@db.com

Tieying MA, CFA

Senior Economist
North Asia
matieying@db.com

Philip WEE

Senior FX Strategist
Global
philipwee@db.com

Mervyn TEO

Senior Credit Analyst
USD, SGD, AUD
mervynteo@db.com

Eugene LEOW

Senior Rates Strategist
G3 & Asia
eugeneleow@db.com

Sherilyn CHEW

Multi-asset Strategist
Global
sherilync Chew@db.com

Ian Haan Chui

Credit Analyst
USD
ianchui@db.com

Samuel TSE

Rates Strategist
Asia
samueltse@db.com

Tracy Li Jun LIM

Credit Analyst
USD, SGD
tracylimt@db.com

Joel SIEW, CFA

Credit Analyst
USD, SGD, AUD
joelsiew@db.com

Amanda SEAH

Credit Analyst
USD, SGD, AUD
amandaseah@db.com

Teng Chong LIM

Credit Analyst
USD, SGD, AUD
tengchonglim@db.com

Daisy SHARMA

Analyst
Data Analytics
daisy@db.com

Iris GAO

Credit Analyst
USD
irisgao@db.com

Radhika RAO

Senior Economist
Asean/EU/South Asia
radhikarao@db.com

Violet LEE

Associate
Publications
violetleeyh@db.com

Nathan CHOW

Senior Economist
China/HK SAR
nathanchow@db.com

Byron LAM

Economist
China/HK SAR
byronlamfc@db.com

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Forecasts, data preview, central bank watch

11th September 2026

KEY DATA RELEASES AND EVENTS NEXT WEEK

- All eyes on the Fed as a likely contentious meeting looms. Pricing leans toward a rate hike.
- BoJ to hike
- August trade data to show Asia's export momentum remaining intact



Taimur Baig PhD,
Chief Economist
taimurbaig@db.com



Chang Wei Liang, FX & Credit
Strategist
weiliangchang@db.com

The Week Ahead covers the key data releases and central bank events of the coming week, collating our macro forecasts.

KEY FORECASTS FOR THE COMING WEEK

Event	DBS	Previous
Sep 14 (Mon)		
India: CPI (Aug)	4.9% y/y	4.4% y/y
- exports	26.5% y/y	19.6% y/y
- imports	19.4% y/y	17.5% y/y
- trade balance	-USD30.0bn	-USD32.0bn
Sep 15 (Tue)		
China: retail sales (Aug)	0.4% y/y	0.6% y/y
- industrial production	5.0% y/y	4.5% y/y
- Fixed asset investment	-7.0% y/y ytd	-6.7% y/y ytd
Sep 16 (Wed)		
Japan: exports (Aug)	21.6% y/y	23.2% y/y
- imports	28.7% y/y	27.9% y/y
- trade balance	-JPY978.6bn	-JPY686.0bn
Sep 10 (Thu)		
US: FOMC rate decision	3.75%	3.75%
Singapore: non-oil domestic exports (Aug)	35.0% y/y	24.2% y/y
Taiwan: CBC benchmark interest rate	2.00%	2.00%
Sep 11 (Fri)		
Japan: CPI (Aug)	2.0% y/y	1.9% y/y
Japan: BOJ target rate	1.25%	1.00%
Malaysia: CPI (Aug)	1.8% y/y	1.8% y/y
Malaysia: exports (Aug)	43.5% y/y	38.0% y/y
- imports	41.2% y/y	36.4% y/y
- trade balance	MYR25.5bn	MYR22.5bn

CENTRAL BANK MEETINGS

Bank of Japan (September 18)

It is almost a done deal that the Bank of Japan will hike rates at the upcoming meeting on Sep 17-18. Recent data strongly support the case for a rate hike. Final 2Q GDP confirmed that the economy continued to grow at an on-trend pace of 1.4% QoQ saar, or 0.9% YoY, in 2Q. July wage data also surprised on the upside, with total wages and base wages rising 4.7% and 4.1% YoY, respectively. Meanwhile, underlying inflation measures, including CPI excluding fresh food, energy and institutional factors and trimmed mean CPI, have converged with the 2% price target, rising 2.2% and 2.0% YoY, respectively, in July.

The most likely outcome is for the BOJ to deliver a hawkish 25bps hike while signalling a flexible pace of rate hikes at future meetings. An outsized 50bps hike at this meeting or back-to-back rate hikes at every meeting is not our base case. While BOJ board member Takata recently mentioned the possibility of an outsized rate hike, he is well known as a hawk and does not represent the majority view. More importantly, the BOJ should remain mindful of the market impact of large policy surprises, given that the unexpected rate hike in July 2024 triggered a massive JPY carry-trade unwinding and jitters across global financial markets.

Taiwan's central bank (September 17)

We expect the central bank to keep its policy rate unchanged at the September 17 policy meeting, before hiking rates to 2.125% at the next meeting in December. August CPI data suggest little urgency for the CBC to hike rates: headline CPI came in slightly below expectations at 2.0% YoY, while core CPI eased marginally to 2.3%. That said, we expect the CBC to retain a somewhat hawkish tone. The central bank is likely to remain vigilant about the risk of persistent supply-side inflation, particularly given the renewed rise in global oil prices amid prolonged tensions in the Middle East. Policymakers are also likely to highlight the risk of second-round inflationary pressures stemming from a potential rise in inflation expectations, higher wages, and a recovery in domestic consumption.

FORTHCOMING DATA RELEASES

China

Industrial production is expected to improve from 4.5% yoy in July to 5.0% in August, supported by strong exports. Export growth edged up from 23.9% yoy in July to 25.0% in August, amid robust demand for AI-related electronics. However, on domestic front, retail sales growth is expected to remain subdued at 0.4% in August, partly due to a high base from last year's trade-in subsidy programmes. High precautionary savings and falling property prices continue to weigh on consumption, while weak

property markets are likely to keep household wealth under pressure.

On the investment side, the decline in fixed asset investment is expected to expand further from -6.7% yoy ytd in July to -7.0% yoy ytd in August. Corporate investment remains cautious amid the ongoing anti-involution campaign, while the property downturn continues to be a major drag. China's shift from presales towards completed-home sales is likely to weigh on near-term investment, land acquisitions and project starts, particularly among highly leveraged private developers.

Malaysia

We expect Malaysia's goods exports growth to remain robust at 43.5% yoy in August 2026, up from 38.0% yoy in July, amid favourable base effects. Export momentum remained anchored by the electrical & electronics segment, underpinned by robust artificial intelligence-related demand, although oil & gas exports expanded at a moderate pace than their April's peak, reflecting energy prices that were below earlier highs. On inflation, we expect headline CPI to remain steady at 1.8% yoy in August, with price pressures contained by targeted fuel subsidies and stable domestic demand conditions, despite rising food price increases.

Singapore

We expect Singapore's non-oil domestic exports (NODX) growth to accelerate to 35.0% yoy in August 2026, from 24.2% yoy in July. Overall NODX strength remained supported by robust electronics shipments, driven by strong artificial intelligence-related demand, despite weaker performance in non-electronics exports. The yoy pickup was likely boosted by favourable base effects, as August 2025 recorded the weakest monthly NODX reading of the year.

India

India's inflation is expected to quicken to 4.9% yoy from 4.4% month before. Food inflation continues to rise, driven by pulses, sugar, and dairy etc., while vegetables rose by a slower pace. After two years of normal monsoon, cumulative southwest rainfall this year is currently 15% below the long-term average (as of early-September), alongside slower build-up in reservoir levels, which could impact upcoming rabi crops as well. Energy prices have remained volatile, raising input cost pressures that could gradually filter through to consumers, even as retail fuel prices have been kept unchanged since May. A gradual broadening of price pressures is likely to keep inflation readings above 5% in second half of the fiscal year, underscoring the need for a tighter policy bias. The goods trade deficit is, meanwhile, likely to stay wide at \$30bn as an improvement in exports is accompanied by a further widening in the energy import bill.

GROWTH, INFLATION, POLICY RATES & FX FORECASTS

	GDP GROWTH, % YOY				CPI INFLATION, % YOY			
	2024	2025	2026f	2027f	2024	2025	2026f	2027f
CHINA	5.0	5.0	4.5	4.3	0.2	0.0	1.0	1.0
HONG KONG	2.5	3.5	3.8	2.8	1.5	1.4	2.0	2.0
INDIA	7.4	7.3	7.8	6.8	4.9	2.2	4.5	4.2
INDIA (FISCAL YEAR) *	7.2	7.8	7.3	6.8	4.6	2.1	4.9	4.0
INDONESIA	5.0	5.1	5.3	5.1	2.3	1.9	3.3	2.2
MALAYSIA	5.2	5.2	5.2	4.5	1.8	1.4	2.0	2.0
PHILIPPINES**	5.6	4.5	4.7	5.0	3.2	1.7	6.5	4.0
SINGAPORE	5.3	5.0	5.0	3.0	2.4	0.9	2.2	2.0
SOUTH KOREA	2.0	1.0	3.5	2.4	2.3	2.1	2.6	2.7
TAIWAN	5.3	8.8	11.6	5.6	2.2	1.7	2.0	2.1
THAILAND	2.9	2.4	2.1	2.0	0.4	-0.1	1.7	1.0
VIETNAM	7.0	8.0	8.0	7.3	3.6	3.3	4.8	3.3
EUROZONE	0.7	1.5	1.0	1.2	2.3	2.2	3.1	2.1
JAPAN	0.1	1.2	0.9	1.0	2.7	3.2	1.8	1.5
UNITED STATES***	2.8	2.0	1.9	1.7	3.0	2.7	3.5	3.0

* 2020 = Fiscal year Apr20-Mar21 ** new CPI series *** eop for CPI inflation

POLICY INTEREST RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
CHINA*	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
INDIA	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25
INDONESIA	4.75	5.75	5.75	5.75	5.75	5.75	5.75	5.75
MALAYSIA	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
PHILIPPINES	4.25	4.75	5.25	5.25	5.25	5.25	5.25	5.25
SINGAPORE**	1.16	1.16	1.30	1.40	1.50	1.50	1.50	1.50
SOUTH KOREA	2.50	2.50	3.00	3.25	3.25	3.25	3.25	3.25
TAIWAN	2.00	2.00	2.00	2.13	2.13	2.13	2.13	2.13
THAILAND	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
VIETNAM***	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50
EUROZONE^	2.00	2.25	2.50	2.50	2.50	2.50	2.50	2.50
JAPAN	0.75	1.00	1.25	1.25	1.50	1.75	1.75	1.75
UNITED STATES	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75

* 1-yr Loan Prime Rate; ** 3M SORA OIS; *** refinancing rate; ^ deposit facility rate

EXCHANGE RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	6.89	6.79	6.75	6.70	6.74	6.78	6.81	6.85
USD/HKD	7.84	7.84	7.83	7.83	7.83	7.83	7.83	7.83
USD/INR	94.8	94.7	93.4	93.9	94.4	95.0	95.5	96.1
USD/IDR	17041	17907	17760	17600	17660	17730	17790	17860
USD/MYR	4.05	4.08	4.02	3.95	4.00	4.05	4.10	4.15
USD/PHP	60.7	61.3	60.4	60.6	60.7	60.9	61.1	61.3
USD/SGD	1.29	1.29	1.28	1.27	1.28	1.29	1.29	1.30
USD/KRW	1516	1549	1465	1450	1490	1505	1520	1535
USD/THB	32.6	33.2	32.7	32.0	32.5	33.0	33.5	34.0
USD/VND	26340	26310	26290	26290	26430	26570	26710	26850
AUD/USD	0.69	0.69	0.70	0.71	0.70	0.70	0.69	0.69
EUR/USD	1.16	1.14	1.15	1.17	1.16	1.15	1.14	1.13
USD/JPY	159	163	156	151	153	154	155	157
GBP/USD	1.32	1.33	1.34	1.36	1.35	1.34	1.33	1.32

INTEREST RATE FORECASTS

		2026				2027			
		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
US	3M SOFR OIS	3.68	3.75	3.65	3.65	3.65	3.65	3.65	3.65
	2Y	3.79	4.16	3.85	3.85	3.90	3.95	3.95	3.95
	10Y	4.32	4.45	4.40	4.50	4.55	4.60	4.65	4.65
	10Y-2Y	52	29	55	65	65	65	70	70
Japan	3M TIBOR	1.27	1.41	1.50	1.60	1.75	1.85	1.85	1.85
	2Y	1.35	1.39	1.60	1.70	1.85	1.95	1.95	1.95
	10Y	2.35	2.72	2.80	2.85	2.95	3.00	3.00	3.00
	10Y-2Y	100	133	120	115	110	105	105	105
Eurozone	3M EURIBOR	2.08	2.32	2.70	2.70	2.70	2.70	2.70	2.70
	2Y	2.62	2.53	2.55	2.60	2.65	2.70	2.70	2.70
	10Y	3.00	2.86	3.10	3.20	3.25	3.30	3.30	3.30
	10Y-2Y	39	33	55	60	60	60	60	60
Indonesia	IDR 3M OIS	4.12	6.45	5.90	5.90	5.90	5.90	5.90	5.90
	2Y	6.31	7.21	6.90	6.80	6.70	6.65	6.60	6.50
	10Y	6.86	7.16	7.00	6.95	6.90	6.90	6.90	6.90
	10Y-2Y	55	-5	10	15	20	25	30	40
Malaysia	3M KLIBOR	3.37	3.45	3.35	3.35	3.35	3.35	3.35	3.35
	3Y	3.26	3.26	3.35	3.30	3.30	3.25	3.25	3.25
	10Y	3.63	3.60	3.80	3.85	3.85	3.85	3.80	3.80
	10Y-3Y	37	35	45	55	55	60	55	55
Philippines	3M NDF implied yield	6.09	4.94	5.55	6.05	6.05	6.05	6.05	6.05
	2Y	5.42	6.08	6.20	6.25	6.25	6.30	6.35	6.35
	10Y	6.98	6.90	7.35	7.45	7.50	7.55	7.60	7.65
	10Y-2Y	156	82	115	120	125	125	125	130
Singapore	3M SORA OIS	1.16	1.16	1.30	1.40	1.50	1.50	1.50	1.50
	2Y	1.61	1.58	1.70	1.80	1.85	1.90	1.95	2.00
	10Y	2.29	2.04	2.30	2.40	2.50	2.50	2.50	2.50
	10Y-2Y	68	45	60	60	65	60	55	50
Thailand	3M BIBOR	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15
	2Y	1.41	1.14	1.15	1.20	1.25	1.30	1.35	1.35
	10Y	2.23	2.04	2.10	2.20	2.30	2.40	2.50	2.60
	10Y-2Y	82	90	95	100	105	110	115	125
China	1Y LPR	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
	2Y	1.37	1.25	1.25	1.25	1.25	1.25	1.25	1.25
	10Y	1.86	1.73	1.75	1.80	1.80	1.85	1.85	1.85
	10Y-2Y	48	48	50	55	55	60	60	60
Hong Kong, SAR	3M HIBOR	2.36	2.97	2.75	2.75	2.75	2.75	2.75	2.75
	2Y*	2.82	3.43	2.85	2.85	2.90	2.95	2.95	2.95
	10Y*	3.08	3.45	3.40	3.50	3.55	3.60	3.65	3.65
	10Y-2Y	26	2	55	65	65	65	70	70
Korea	3M CD	2.82	2.92	3.25	3.50	3.50	3.50	3.50	3.50
	3Y	3.56	3.70	3.75	3.90	3.90	3.90	3.90	3.90
	10Y	3.88	4.07	4.20	4.35	4.35	4.35	4.35	4.35
	10Y-3Y	32	37	45	45	45	45	45	45
India	3M MIBOR	7.25	6.61	6.75	6.75	6.75	6.75	6.75	6.75
	2Y	6.37	5.99	6.30	6.30	6.35	6.35	6.35	6.35
	10Y	7.04	6.75	6.95	6.90	6.90	6.90	6.85	6.85
	10Y-2Y	67	76	65	60	55	55	50	50

%, eop, govt bond yield for 2Y and 10Y, spread bps

Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

ECONOMICS & STRATEGY

Taimur BAIG, Ph.D.

Chief Economist
Global

taimurbaig@db.com

Mo Ji, Ph.D.

Chief Economist
China/HK SAR
mojim@db.com

Han Teng CHUA, CFA

Senior Economist
Asean
hantengchua@db.com

Wei Liang CHANG

FX & Credit Strategist
Global
weiliangchang@db.com

Tieying MA, CFA

Senior Economist
North Asia
matieying@db.com

Philip WEE

Senior FX Strategist
Global
philipwee@db.com

Mervyn TEO

Senior Credit Analyst
USD, SGD, AUD
mervynteo@db.com

Eugene LEOW

Senior Rates Strategist
G3 & Asia
eugeneleow@db.com

Sherilyn CHEW

Multi-asset Strategist
Global
sherilync Chew@db.com

Ian Haan Chui

Credit Analyst
USD
ianchui@db.com

Samuel TSE

Rates Strategist
Asia
samueltse@db.com

Tracy Li Jun LIM

Credit Analyst
USD, SGD
tracylimt@db.com

Joel SIEW, CFA

Credit Analyst
USD, SGD, AUD
joelsiew@db.com

Amanda SEAH

Credit Analyst
USD, SGD, AUD
amandaseah@db.com

Teng Chong LIM

Credit Analyst
USD, SGD, AUD
tengchonglim@db.com

Daisy SHARMA

Analyst
Data Analytics
daisy@db.com

Iris GAO

Credit Analyst
USD
irisgao@db.com

Radhika RAO

Senior Economist
Asean/EU/South Asia
radhikarao@db.com

Violet LEE

Associate
Publications
violetleeyh@db.com

Nathan CHOW

Senior Economist
China/HK SAR
nathanchow@db.com

Byron LAM

Economist
China/HK SAR
byronlamfc@db.com

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